

THE MASTER OF TIME
An Epos of W.D. Gann's Master Time Factor

Copyright © 2009 by Victor Ledeboer

All rights reserved. Printed in the Netherlands. No part of this publication may be reproduced or distributed in any form or by any means, or stored in a data base or retrieval system, without the prior written permission of the publisher.

ISBN -978-94-90330-01-9

HOC Publisher 2009
House of Charts

With thanks to
Chronos and Zeus

The Master of Time
An Epos of W.D. Gann's Master Time Factor

Victor Ledeboer
Cover Carien van Hest
Illustration Len Visser
Translation Nathalie Roberson-Porter

INDEX

Prologue	7
Introduction	9
1. W.D. Gann's philosophy <i>The master investor</i>	12
2. The past repeats itself <i>Because human behaviour never changes</i>	15
3. The inner and outer cycle <i>Time and price levels</i>	27
4. Chronos <i>The Time warrior</i>	43
5. The great Chronocrators <i>Factoring the Time</i>	51
6. The new time <i>Looking forward</i>	71
Conclusion	93
Appendix 1 THE INVESTOR	95
Appendix 2 CYCLES	99
Literature list	102
Ticker interview	107

PROLOGUE

I actually wanted to write a book about W.D. Gann's work, including many of his theories, which could be applied in a simple and practical manner for the average investor who was interested in technical analysis. Whilst writing I began to see W.D. Gann's work in a very different way. I have been interested in Gann for many years but only now have I become so intensely involved.

Many strange references can be found in W.D. Gann's work: references to the bible, planetary motion comparisons and his unique way of juggling with numbers. I came to realise that Gann didn't actually write what he meant but that he actually implicated the readers to look behind his theories. The more I delved in to Gann's work the harder I found it to write the book. How could I write a book when I knew for sure that what Gann had meant was something different to what he wrote? Writer's block. I couldn't continue writing about things that most probably had a whole different meaning. The basis of Gann's theories was clearly not what it seemed, but what was it really? Gann doesn't say it in so many words but he neither misleads nor avoids it either. It is up to the reader self to go in search and that is what I did: I went in search of the true of meaning of Gann's work. A search that led to many various theories about the true state of affaires behind the theories. These theories have never been complete; never have they been clear-cut. Many writers seem to have their own insights, different to mine. Eventually I hung onto one particular subject of Gann's work that I found most interesting: the

Master Time Factor. This is what I wanted to write my book about. This theory, with which Gann claimed he could predict future rates, has inspired many writers before me. I am now going to give it a try but I am not going to tell you which ideas I have about the Master Time Factor. No, this book is not about practical applications of Gann's work. I will not take you by the hand and I will also not reveal to you how you can predict the markets of the future. This book is a bit of prose about one of Gann's theories, namely the art or predicting and how we can embed it. The philosopher in me needs to come out.

Victor
February 2009

INTRODUCTION

In times gone by many large investors researched the wave movements of the share markets and developed theories about the course of the markets but William Delbert Gann was not one of them! He studied the ancient texts, which informed him about future market developments and the market goals that could be gained. W.D. Gann (1878-1955) developed a number of unorthodox methods that turned out to be extremely effective. He looked at economic markets in a very different way compared to many others and his thoughts were far from the beaten track.

This small story is about one of the greatest investors from the last century: W.D. Gann. Those who have superficially touched his theories will see only the work of a technical analyst. In nearly all records of technical analysis we find his work. Drawing lines over a chart which records market movements is already a strange phenomenon. As if the lines adhere to the wishes of the investor and stay within these boundaries. But as it goes, millions of investors over the whole world hold onto the rules of the game. Perhaps that is one of the reasons why technical analysis works – because everyone keeps an eye on it. But Gann didn't draw lines for nothing. He made lengthy calculations originating from outside the established financial world of technical analysis.

If you have ever taken the time to read some of his work then you will discover a writer who, based on what seems nothing, refers to a number of different facts. For

example, he calls the number 7 important, as the world was made in 7 days: 6 working days and 1 day of rest. Or he attaches great value to the number 3, as it is so often mentioned in the Bible. Any rational thinking person would soon loose interest and with all due respect, for what sort of bizarre causality is this? Referring to the Bible is one thing but laying a cause and effect connection is something very different. These sorts of statements made me as reader very curious to Gann's work and led me on an enormous search to the origin of his work. I can't give you any answers. Perhaps you have also investigated the theories that lie behind Gann's work and know more than me. But thoughts cannot be guided; it is sometimes good to write them down.

The most important ingredient in Gann's work is the Master Time Factor. He claimed to have developed at secret formula with which he could predict future markets. That sounds interesting and could well be worth a Bible study. What followed for me was years of studying Gann's work; full of frustration and disbelief. I bought far too many useless and expensive books yet what provided me with more insight and inspiration were the small articles I found on the internet. One who travels must follow his path and for that reason I kept on looking. I would like to share with you "The Master Time Factor". As it is written here it seems as if it only concerns one person. This brings up questions. This book is a little bit of prose, only about this part of Gann's work, no more and no less. You will regret having read this. Your thoughts will be left in rags. You will be left in the woods and will have to find your own way out.

Will you join me on a journey of discovery into the wonderful world of “Gann”? Reading this book you will, little by little, get to know the person Gann. This book is about his theories, that is to say my personal interpretation of his theories. It is possible to understand Gann in a number of ways. In this book you will find my style and applications of Gann’s theory. As a whole it is not complete. Gann’s work has many aspects and can be unbelievably intricate. In this book you will find the core of Gann’s theories; the story that he has many times before sketched in his books. The story of predicting the future. Gann’s theory is THE MASTER TIME FACTOR. It is like a fairy tale...and perhaps it could just become true.



1. W.D. GANN'S PHILOSOPHY

The master investor

William Delbert Gann (1878-1955) was an enthusiastic person. This was not only expressed in his investing and the studies he made about the economic markets but also in his religious ideas. Gann was an eager Christian. His passion was always his trademark. It was Gann's opinion that you had to be intensely passionate about what you wanted to achieve; otherwise success wouldn't come to you. With this he "extends you his hand" and sends you out to discover for yourself: he only names 'the topic'. As reader you are forced to think for yourself. He lures you into discovery. You need to discover for yourself if what he says is correct. For a number of theories he has never revealed his secret recipe. One of these theories is The Master Time Factor. It is a mathematical calculation that explains the natural wave movements on the markets. On one hand he was very secretive but on the other hand he was also very open about his theory. Hard work and intensive study is needed, according to Gann (appendix: Ticker Interview 1909). After his death his belongings showed how fanatical he was about the markets. Thousands of graphs were found with lines, numbers and all sorts of notes written upon them. Gann had studied the charts from the very beginning; he was of meaning that everything in life repeats itself. The answer to future market developments can thus be found in the market development of the past.

Gann's philosophy can also be traced to the social-economics theory of human behaviour. According to

Gann wave movements on the market can be predicted, because human behaviour never changes. People cherish hope and hope is confirmed when rates rise; giving people faith in their own behaviour. But, people also have fears; fear of losing their values and fear confirms lack of faith. This is a continually reoccurring theme according to Gann.

Gann's work can best be described as a study of "natural movements". Harmony in relationships, in units and in the line game: symmetry and geometry. Even with the craziest of things you can be sure that Gann had experimented with it. He studied the market movements with figure patterns (numerology) but also with geometry (lines). He based his investing theory on ancient texts, such as the Old Testament, the Kabala and the Veda's. He translated the Bible's mystics into numerology; which he not only used on the markets but also on political and economic grounds. It is said that the secrets he wrote in his book "Tunnel through the air" were written in code. The book is written as a novel and takes place during the Second World War. Many have studied the book and written about it. More have discovered valuable elements in Gann's work but have never made it public.

Gann sees the markets as a geometrical and harmonious coming together of movements (angles) in time and price. He looks at it in a very holistic way. During his travels to India and Egypt he studied symbols and ancient cultures. His studies of the Old Testament also indicate that Gann looked at market movements with a holistic perspective. Movements follow in a logical manner and

stand respective to each other. Even though Gann's theories are made up of a lot of mathematical modules, here in also shelters the pitfall. If we want to look at market movements through the eyes of Gann then we shouldn't make calculations and statistical chance calculations in the ways an accountant would. Doing this would completely make a knot of things. The numbers (usually years) indicate important periods wherein similar market movements should be found. Yes...should! We have to use our imagination in order to understand the movements on the markets. It is as if Gann refers to totally different things: especially as he wrote it in a sort of secret code; in a number of interviews he stated that he wasn't willing to sacrifice "his little secret".

In my opinion I think that we have to handle Gann's methods playfully. It concerns relationships, which give expression to human trading. It comes down to the fact that no single movement is an exact replica of a previous movement, despite the great comparability. The moment we follow Gann's theories to the letter we get stuck, as the human factor cannot be shown within the lines.

Market movements are not evenly divided into tops and troughs but always reveal a different pattern. We can observe this if we lay equally divided wave movements over share market charts. A well-known wave movement cycle is the four-year cycle, but if we lay the cycle pattern over the tops and the troughs of the actual market then we see that one time this four-year cycle is a little longer than 3 years and another time a little shorter than 5

years. The average is four years but it is very difficult to decide where the next top or bottom will lie. The market movements look a lot like each other but the size of them varies. Put in another way: the one impulse wave (Elliott) is not the other, but they are all impulse waves. This is also how Gann looked at the market. The repeating wave movements are not all alike but they are all still wave movements that are repeated. I say again: without imagination we will not understand the market. Use this capacity in yourself to understand what market development has in mind. It was after all Gann who strayed from the beaten track.

2. HISTORY REPEATS ITSELF

... *“because human behaviour never changes”*

In Gann's opinion history repeats itself because human behaviour never changes! Human nature can be considered as a 'natural law'. Every new generation makes the same considerations and choices as the generation before. Gann stated that the generation of politicians and managers from the 30's and the 40's, from the last century, made new choices. The New Deal programme from Franklin D. Roosevelt seemed successful; panic and inflation would be a thing of the past. State investments were needed to help the economy grow. After 1933 it seemed in first instance to lead to success. But, Gann indicated that a new *spending* had already begun. In 1937 a new recession and crisis started which continued into the war. In a way the new generation, from after the depression, were not much different than other generations. They made the same considerations and choices as the generations before. The continual repetition of the cycle of human behaviour is what Gann calls the Time cycle. Time? Because this cycle repeats itself over time and occurs according to certain time intervals:

Gann: Every movement in the market is the result of a natural law and of a Cause which exists long before the Effect takes place and can be determined years in advance. The future is but a repetition of the past, as the Bible plainly states: 'the thing that hath been, it is that which shall be; and that which is done is that which shall

be done and there is no new thing under the sun’-Eccl. 1:9.

During an interview in 1909 (in the newspaper The Ticker) Gann talks openly about his theories. Never before had he referred so clearly to the underlying ideas of his theories. He describes market movements as natural laws or better still, as natural vibrations. He devoted 10 years of his life to studying the movements that he describes as “Natural Vibrations”. After years of research he discovered how these movements occurred and what lay at their foundations.

Gann: I discovered that the Law of Vibration enabled me to accurately determine the exact points to which stocks or commodities should rise and fall within a given time.

However Gann did not actually reveal what the “Law of Vibration” was. He did hint. The Law of Vibration works on the same fundamental principle as the telephone. All movements on the market can be traced to this Law of Vibration. The scandals and various ‘panics’ also fit into the big picture of Gann’s secret method. Apparently there is a ‘cycle law’ that sees to it that people demonstrate certain buying and selling behaviours. Periods occur of extreme intensity, of repression and panic. This ‘Law of Vibration’ not only indicates the longer running cycles on the markets but also the shorter running cycles, the daily movements and even the movements on an hourly basis.

Gann: By knowing the exact vibration of each individual stock I am able to determine at what point each will receive support and at what point the greatest resistance is to be met.

According to Gann there are harmonious and disharmonious forces behind each of these movements. The fact that only a single share rises against a negative market sentiment is, according to Gann, the power behind this theory. The shares act like a sort of atom or molecule that react together as a group on underlying vibrations. They stay together as a group because they form the same identity. This is the 'Law of Vibration'. It is a '*rhythmical motion*'. Just as the moon returns to the same place in the sky as the month before and as the winter changes into spring. Gann mentions another important theme in the Ticker interview:

Gann: A famous scientist has stated that diversity in phenomenal nature in its different kingdoms is most intimately associated with numerical relationship. The numbers are not intermixed, chaotically and accidentally, but are subject to regular periodicity.

What Gann indicates in this statement is that wave movements can be traced back to numbers and numerical patterns. The numbers occur in a certain order and are thus not chaotic or accidental. Should we see the numbers as an expression of vibration and do the figures have a meaning in our daily lives? That is taking things far...very far! These sorts of metaphors give life a

holistic edge. But oh, try finishing the puzzle! What do the numbers mean?

Everything in life is made up of specific units and their relationship to each other. Everything is connected with everything else but at the same time the individual aspects can be divided. Gann adds another scoop on top. Everything in the *universe* consists of arithmetical units: *“There is nothing in the universe but mathematical points of force”*.

That is quite a statement. I have all sorts of associations with this. Does Gann mean the Kabala, numerology or perhaps the 9 Star Ki that is used in Chinese astrology? Or had Gann discovered an even larger force? One of which we know nothing of.

For the moment we will put the numbers and vibrations to one side and come back to them later. Gann accumulated thousands of charts. After his death they were all found; a number of them have been published. He made many notes on the charts and studied the time elements and planetary motion. Charts are needed, for investors, to develop a feel of trend. The demonstrating trend, every time new on the market, continually shows the development of the cycle. By studying the cycles an image presents itself. Or as Gann says:

Gann: Remember the old Chinese proverb: ‘one good picture is worth 10,000 words’. You should make up charts and study the picture of a stock before you make a trade. You should have a weekly high and low chart, a

monthly high and low chart and a yearly high and low chart. A yearly high and low chart should run back 5, 10 or 20 years.

Gann wakes our curiosity and makes us want to discover more. The pointers he makes are very handy and useful. If you yourself want to work with the theory of reoccurring patterns then you have to study the charts from the past. Wherever you look, these charts are very important.

Many technical analysts have picked up on the idea of reoccurring trends and cycles. However you would think that by having a method or a mathematical formula the need to study historical data would be unnecessary. But Gann indicates, that in the end it comes down to numbers. If it is nothing more than '*mathematical points of force*', why still look at the charts? Is the key hidden in the charts? What other need did Gann have for all that market data? There are too many questions still left to be answered. Let's find out what Gann had to say about it. What did he write about the Master Time Factor?

The Time Factor consists of different time elements that sum up past cycles. Various works from Gann talk about this Time Factor. Sometimes he talks about The Time Factor, other times about Time Factors and then about Master Time Factor. Whether he speaks of single or multiple, of normal time cycles or master cycles, there is an explanation why the markets keep repeating certain patterns. He often wrote about time cycles that could be added up and that together could predict future market

development. During his life he made a number of accurate predictions. In the Ticker interview (in the appendix) you can read how accurate. Gann often made, month's ahead, accurate predictions of turning points.

We will continue with The Master Time Factor theory. I will give you the various number sequences as Gann had written them. But first a comment about the cycles. There is talk of a Major and a Minor cycle. Both need to be well separated from each other. The Major cycle indicates the basis trend and the Minor cycle the movements within the Major trend.

We will only be looking at the Major trend. Gann wrote the following about it. The number 7 is in his eyes a master number. A number indicating a new start, according to Gann: the earth was made in 6 days (Old Testament); the 7th day was a day of rest. Every 6th day is the end of a cycle and the 7th day is a day of rest. New starts are continually being made. There are 7 days in the week and the number 7 is the most occurring number in the Bible. The number 7 is in Gann's eyes not the most important number. For Gann analysts it is inaccurate that I start with the number 7 as Gann describes the Major trend with the number 6 in mind. The day of rest is not often mentioned in his other work. So after every 6 a new cycle of 6 starts. The number 7 is important but inferior to 6 as it symbolizes a rest day where nothing happens. Gann subtracts the day of rest from the master number and states that the heart of the Great Cycle lies hidden in the period that has to do with the number 6. Gann takes the synergy further: the Bible talks of a master cycle of

60 years. Thus 60 years is the most important period in the Master Time Factor.

Then there is the number 3. The symbol of the number 3 can be found in the Bible, as Jonah who stayed three days and three nights in the Whale's Stomach: the Son of Man be three days and three nights in the heart of the earth. Three nights and three days is according to Gann the symbol for the yearly seasons. Every season runs for a period of three months. From the 21st December to the 21st March is three months; the following three months go from 21st March to 21st June then 21st June to the 21st September and finally from the 21st September to the 21st December. Every season has three months. Gann believes that *man* on earth lives according to the seasons of *the Sun*. The Sun (the cycle of the Sun) around the earth. Together the seasons form a Cardinal cross, the period when the sun arrives at 1 degree Aries (21st March), 1 degree Cancer (21st June), 1 degree Libra (beginning of autumn) and finally the beginning of winter (1 degree Capricorn). The Cardinal cross is the four corner points in the year. The distance between the corner points of the Cardinal cross is always 90°. The cycle that the earth makes around the sun is equivalent to one whole year. The similarity between the angles and the days in the year is easily made. Thus 90° is equal to the period of 90 days. The square of 3 brings us to the number 9. In the eyes of Gann the numbers 3 and 9 are also important. Thus 90 years is also a master number. 90 years can also be divided into two to make 45 years. Remember the numbers 90 and 45.

Then the number 10, the decade, the 10-year cycle. His thoughts were that every year has its own dynamics and a cycle repeats itself according to the decade. The repetition of the cycle is not so much the 10-year cycle but the multiplication of it. There is something similar to all the years that end, shall we say, in a 7. So if we go back in time and find all the years that have ended in the number 7 then we should see a similar pattern emerging. Gann also associates the number 7 with the planet Saturn. That is interesting. Gann writes the following:

Gann: "7" is a fatal number referred to many times in the Bible and it is ruled by the planet Saturn, which brings about contractions, depression, and panics. 7 x 7 equals 49, which is shown as the fatal evil year, causing extreme fluctuations.

I always thought that the number 7 was a lucky number but the above statement makes me think otherwise. Gann even calls the 49th "jubilee year" a "fatal birthday". In the Kabala Saturn is related to the number 7, the seventh day, Saturday. What are we to do with this sort of information? Confused? Consider: what is the 49th year? From which point? Which year should be the bad year? And more to the question – what does Gann base all this on?

The number 7 is thus a master number whereby the cycle repeats itself but for Gann that can also be said for the number 2, or multiples of: 20. The number 20 is used many times by Gann. Many of his mathematical modules stem from a 20-year cycle. In Gann's opinion the symbol

of the 20-year cycle is very static. The number 1 is a multiple of 2, thus a 10-year cycle double is the 20-year cycle. Everything we experienced 20 years ago is the double to what we experienced 10 years ago. Confused? I can well imagine you are. We have only just begun our journey and I am already throwing figures at you. I will sum up: the most important number in the Master Time Factor theory from Gann is the number 20 (years) or rather 3 times 20, 60 (years). This is important so I will repeat myself one more time. The most important time cycle is the 20-year cycle or the multiplication 3 times 20. That is the 60-year cycle, great cycle of the Master Time Cycle.

That was a bit of juggling with numbers but we have not finished yet. Also remember the following: between the numbers 7 and 2 there is 5. The number 5 is also a master number, so also multiples of 5 (50 years). There are then seven important numbers that play a dominant role in the Major Master Time Factors: 10, 20, 45, 50, 60, 70 and 90 years. To summarize I have lined them up:

1. first the 60-year cycle that can be divided into three cycles of 20 years (or the other way around)
2. after that the 90-year cycle that can be divided into two times 45 years
3. followed up by the 50-year or 49-year with the fatal number
4. and finally the 10-year cycle whereby years ending in the same number are compared with each other.

There is a lot more to say about the Master Time Factor from Gann but these Master numbers are very important and we need to get to work with them. *The past repeats itself because human behaviour never changes!* The repetition of human behaviour can be traced in the cycle development of the Major Master Time Factor. Every 10, 20, 45, 50, 60, 70 and 90 years the same themes occur, the same political and social choices are made and the same bull markets and panic waves occur. The numbers nearly cover a whole century. This requires some relativity and view of his theory. The numbers are not randomly chosen; they are backed up by theory. Stronger still, we can keep making the numbers smaller and more specific but the core is the above row of numbers, of which only one cycle has the status of Master Cycle and that is the 60-year cycle or its dividend – the 20-year cycle.

This is only the beginning of the Master Time Factor theory. Gann has many more numbers that refer to Bible texts. Besides the Major Master Time Factors he also mentions how the smaller cycles develop, but I will not trouble you with that. We are only going to deal with the larger time cycle, the 20-year cycle or 3 times 20, the 60-year cycle. There is so much to say about this cycle so I will keep the rest for later work. The question that remains after reading this chapter is: why is the 20-year cycle so important and why does Gann always talk about TIME and numbers? These questions tickle the curiosity. With such secret texts Gann gained a whole array of fans

who are in search. Searching in the world of which Gann knew so well. Let's take things a step further.

3. THE INNER AND OUTER CIRCLE

Time and price levels

We are now going a step deeper into Gann's theory. I want to introduce you to the distribution of time periods within a circle and Gann's ideas. This was mentioned in the last chapter, now I want to delve deeper. The statement below shows again Gann indicating the mystic, something that cannot automatically be related to the financial markets. Gann about the circle of 360:

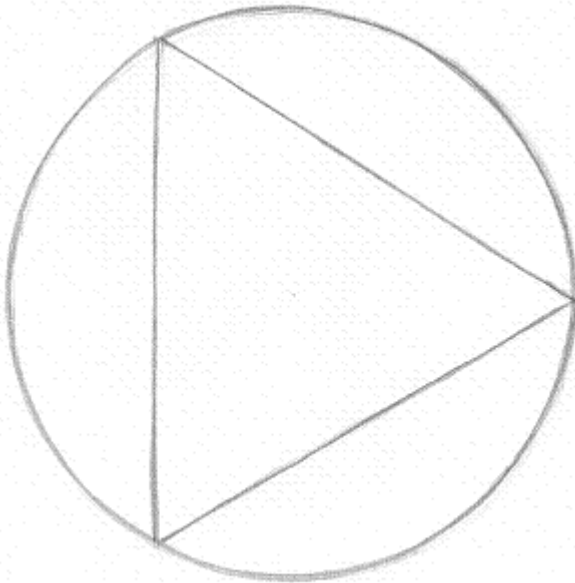
Gann: 'The circle of 360° is most important for time cycles and price resistance. First, we divide the circle by 2 and get 180°, which is one-half and is most important for time or price in days, weeks or months. Next we divide the circle by 3 and get the triangle points of 120°, 240° and 360°. Third, we divide the circle by 4 which gives 90°, 180°, 270° and 360° which are the square and most important'.

Dividing the circle into three separate parts produces the three corners of a triangle. The 120°, 240° and the 360° are the corners in the circle as shown below (fig. 1).

What Gann also does is divide the circle into four segments of 90° creating the four corners of a square (fig.2). What does this mean and why does Gann do this? The circle, according to the statement above, makes a link with time. He says that the corners of the triangle or square are important time moments. The triangle and the square in the circle are therefore the changes in trend that take place in time. Every corner of, for example, the square in the circle represents 90°, or a ¼ of the whole.

Considering that the earth turns around the sun in 365 days and the circle is 360° , he makes a connection between the angles and days. So 90° is the same as 90 days. Or, that is also possible; the 90° represents 9 or 90 years. Gann mentions that a number of time periods can be used. He plays around with the time values in his texts and examples. This can be seen in all of his work.

Fig.1: circle and triangle



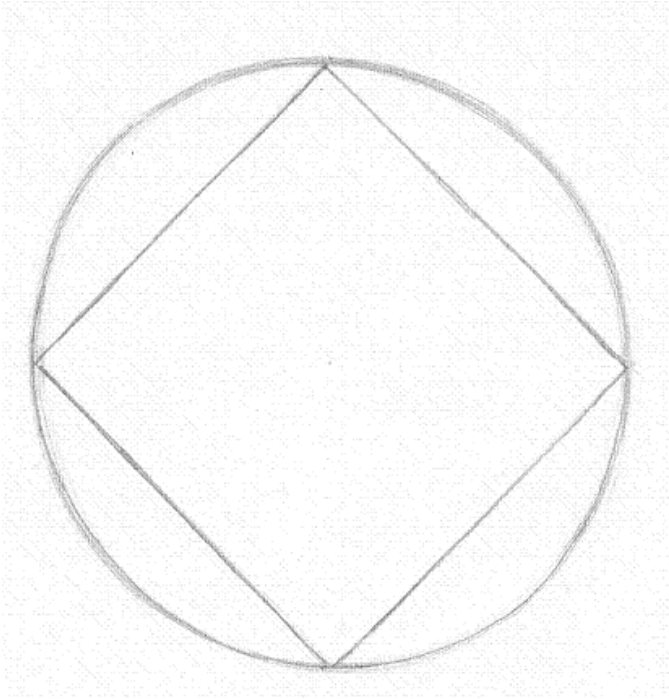
We will take it step by step. Another statement wherein Gann talks about his understanding of time:

Gann: 'The circle of 360 and the nine digits are the basis of all mathematical calculations. The Square and the Triangle form within the circle, but there is an inner circle and a inner square, as well as an outer square and an outer circle, which prove the fourth dimension in working out market movements'.

Let us investigate this statement, literally. The time elements of the circle are thus the four corners of a square that are formed within the circle. These are the 90° corners as you can see in the diagram below (fig. 2). But Gann says more. He also says there is an inner circle and inner square. He states, “*Which prove the fourth dimension in working out market movements*”. The implications that Gann made in this text have kept many people intrigued. He indicates another dimension, a forth dimension, that is important to trace market movements. The majority of books that I have read about Gann’s work indicate, at this point, to the factor price. The inner circle is about gaining the market goal within a certain period (fixed points = square). But the question is whether this is correct. The thought is not all that ridiculous, as Gann continually refers to price levels. I will show you how I see things.

Why are the circle and square so important in Gann’s work? To find out why we have to discover whom Gann was as a person. He had studied many ancient texts.

Fig.2: Circle and square



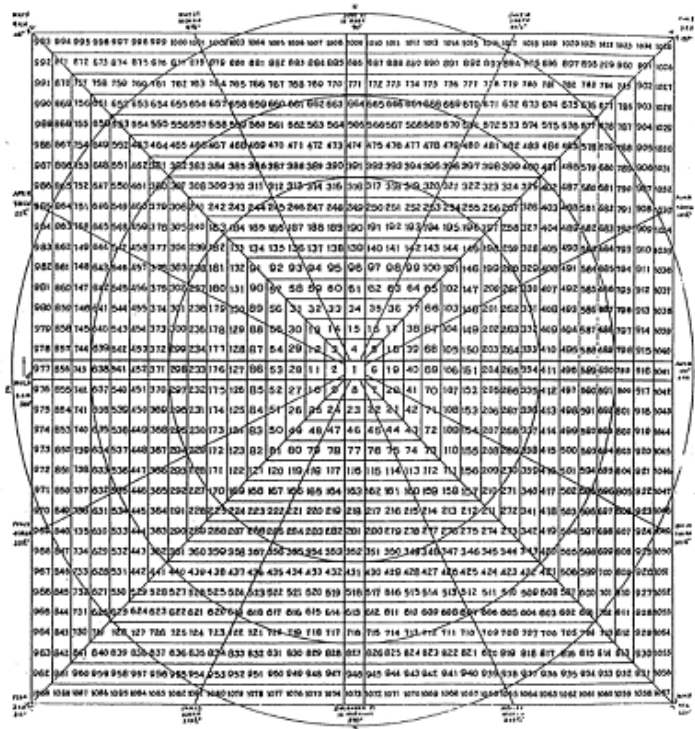
Besides the Old Testament he also studied the Kabala and the ancient Indian and Egyptian wisdoms. These works also include the square and the circle. As far as my source is correct, both symbols originate from ancient Egypt. In the Egyptian culture the circle represents the spiritual world and the square the earth, matter, also people. The circle within the square symbolizes the synchronicity of “what happens above, happens below”.

In the example from Gann the square is placed in the circle.

The ancient Greeks were the ones who were already struggling with the circumference of both. The circumference of the circle is the same as the circumference of the square (as far as the circumference can be calculated, regarding the pi of the circle). This symbolizes the representation that the outer world and the inner world are equal to each other. The outer reflects the inner. This synchronicity is thus an important theme. Gann places the angles in the circle of TIME. This sounds very philosophical and needs more explanation.

Both the Kabala and Chinese astrology use a square to create a number block. Not just one number but a whole load. In many ancient languages numbers and letters were strongly linked with each other. In the ancient Hebrew languages both were as one. This is still true today in a number of Chinese characters. Chinese astrology also uses the number series method within a square. This is called the Bagua of 9 Star Ki astrology. Such a Bagua is the sum of the most basic sequel of numbers (1 to 9). Bagua means vibration. The number 10 is a multiple of 1 and thus the beginning of the following number sequel. The sequels can be found in various works of Gann: the Hexagram and the Square of nine. Below the Square of nine. Again we see the square and the circle appearing together in a diagram but now the square is not in the circle but lies on top. Seeing that all the numbers are in the square it seems as if the square has to do with price.

Fig.3: Square of 9



The first number in the number sequel in the square is the number 1, in the middle. The left hand side begins with the number two and is then followed with the numbers until the number 9. The numbers turn as a sort of snail's shell around the centre point then continue on from number 10 and further. The shape of the counting is like a spiral. What is also noticeable in the above diagram is

that Gann places the numbers in angles to the circle. The angles are equally divided over the square. The relationship between ancient texts and Gann’s work is easily made. It is interesting to see what we can find out about the Square of 9 in old texts and how they are used. The Kabala brings the Magic Square in relation with Saturn. The Square of 9 then looks like the following:

Fig.4: Saturn Square of 9

4	9	2	6
3	5	7	6
8	1	6	6
6	6	6	45

The red, 9 numbers in the middle is the Magic Square from the Kabala. If we total up the numbers from the first row then we come to 15, retraceable to 6 as 1 plus 5 is 6. This happens to the whole sequel. Every sum is traceable to the number 6 and the eventual result of 45 and that can then be traced to the number 9. In ancient Hebrew cultures we also see these number patterns. They are ‘magic’ numbers. Gann uses them in a slightly different way but the similarity is great. The square in the circle represents the number units in Gann’s theory and the circle the time units.

There is more. Egyptian tradition indicates that the circle represents heaven and the square represents the material, humans. Only the ancient Egyptians placed a linking element between heaven and earth, the triangle. The

question is what does a triangle symbolize? The triangle connects the circle and the square, or rather the material and the spiritual. The connection between the inner and the outer world; between material and time; between above and below. The triangle is everywhere in Egyptian culture. Whoever thinks of ancient Egypt will quickly think of pyramids. The triangle is the symbol of the pyramid. The pyramid is anchored on the ground and aims to the heavens with its point. There are thus 3 elements, the circle, or rather time/heaven; the square, or rather matter/humans and finally the linking element, the triangle, between the square and the circle.

Fig.5: circle



Fig.6: triangle

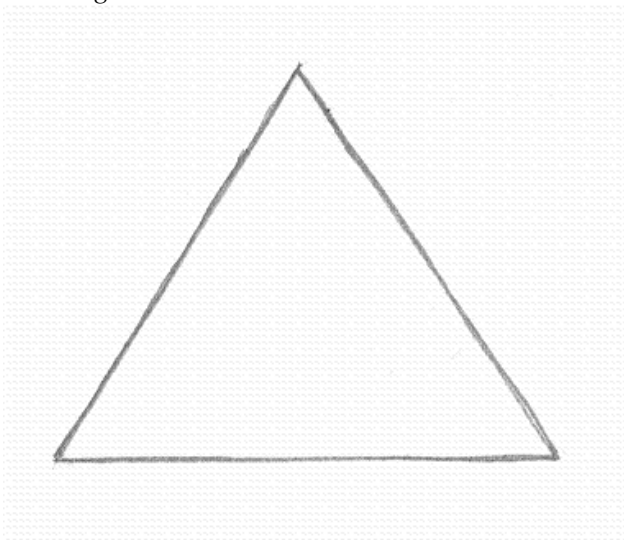
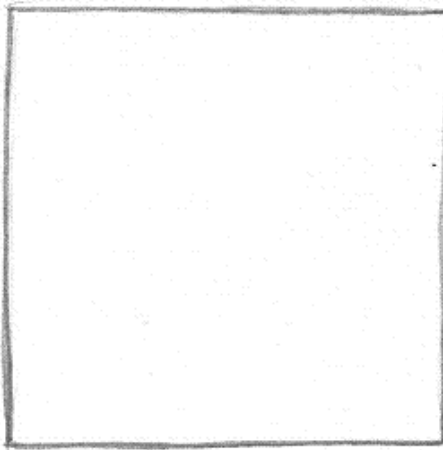


Fig.7: square



What is the link between, on the one hand time and on the other, matter? In ancient times one talked about Spirit. The three elements are body (square), soul (circle) and spirit (triangle). The triangle also represents the eye, the all-seeing eye. The Egyptians drew this eye in the symbol of the triangle. The link between matter and time is that the triangle is flat and steady on the ground (just like the square) and aims towards the heaven (to time). Where does this point aim? To answer this question straight away: the point of the triangle points to the circle, it points to one moment in time. One specific moment in time, one moment in the circle of TIME. Important happenings have fixed points in history; they are the things that are collectively written in our memories. The aeroplanes that flew into the World Trade Centre indicate a fixed point in time. It is a moment, a turning in time. Correct, that is the connecting link, because with time and price alone no moments can be made. This is the essence of the forth dimension. Time on its own does not exist but has to be anchored by occurrences in our history. They are the corners in the triangle that indicate turning points. One more time:

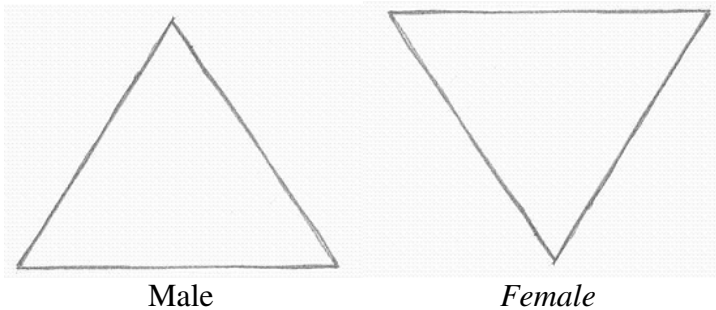
The linking three elements:

Circle time	above, heaven
Square price	matter, earth

Triangle spirit, connection
corner or fixed point

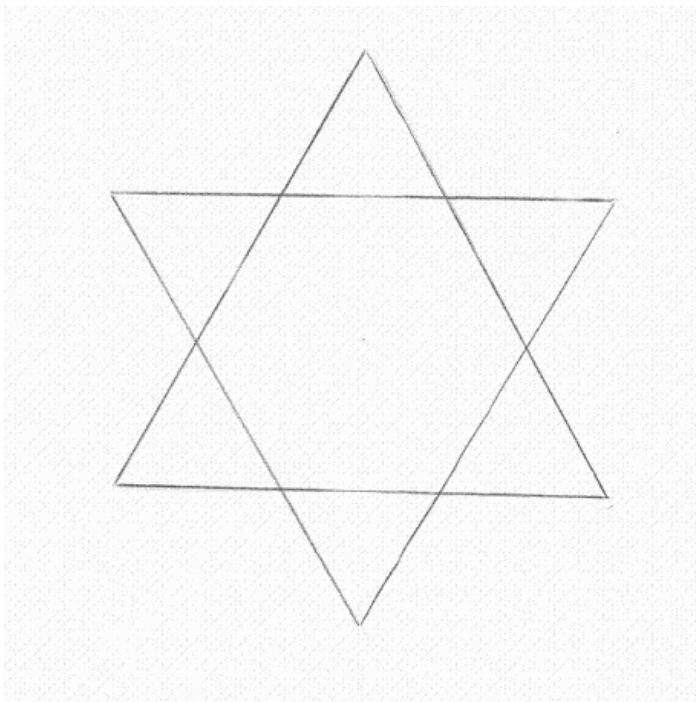
We should see a triangle as periods when important occurrences (corners) happen in TIME. The triangle can be placed in any random position in a circle of 360 degrees and always has corners of 120 degrees. The Kabala (but also in other ancient scriptures) they talk about two sorts of triangle, the male and the female triangle. Below you can see the two sorts:

Fig.8: The two sorts of triangles



The male triangle aims upward and the female aims downward. The two triangles together symbolize the unity between male and female. It goes without saying that when the two are put together they form a hexagon.

Fig.9: The hexagram

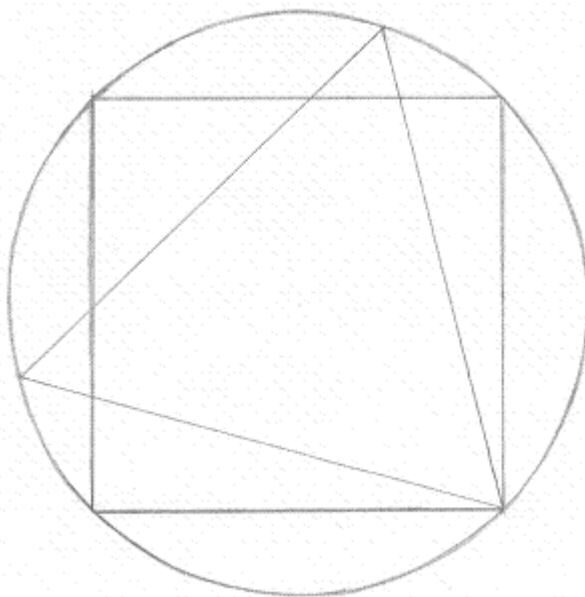


The circle symbolizes time; the square, price, and the two triangles symbolize the moments that price and time change. This makes Gann's theory interesting but at the same time it creates curiosity about applying the theory and its background. If you think that these simple explanations will open doors to establishing markets and prices then I regretfully have to disappoint you. Yes, this theory is applicable to price but that doesn't necessarily open Valhalla. The theory is not yet finished. There are

many loose ends and the application can often be interpreted in many ways.

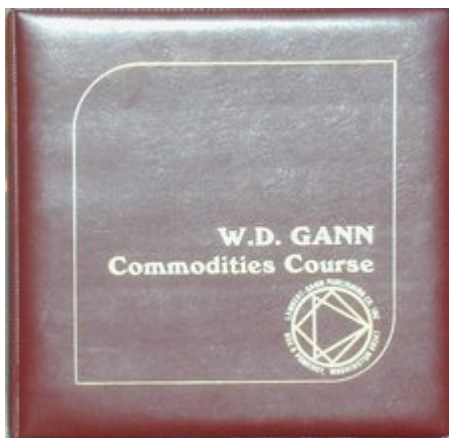
The basis of the connection can be seen in the drawing below. A circle, a triangle and a square all linked together.

Fig.10: Circle, square and triangle



This symbol is an important element in Gann's work. We see it on the cover of his "Commodities Course" book. The symbol is very meaningful.

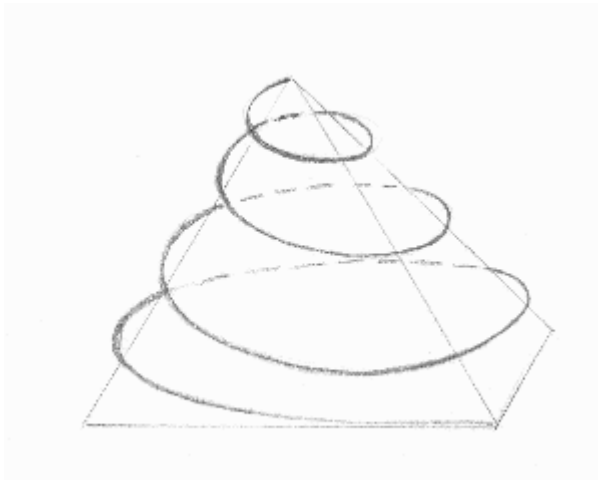
Fig.11: Gann's symbol



The drawing of the circle, the square and the triangle are not static. Flatly seen it looks like a compass. The point of the triangle in the square points, as it were, in a certain direction. Only this is definitely not static. Seen in third dimension, we see a pyramid. The pyramid has a square base and a pointed roof. The same image now looks completely different.

The number pattern is now no longer a flat image but three-dimensional and the circle turns as a spiral upwards from the bottom or downwards from the top. Price determination in this form can be explained in time and space. The pyramid is as a symbol for catching TIME. The wind that blows around the stones, as it were, paying attention to every side of the pyramid. Could the symbol of the pyramid be seen as a huge history book? There are people who think so.

Fig.12: The three dimensional image of the circle, the square and the triangle



The three elements have come together in the above drawing. The numbers run from top to bottom and we can only speculate which numbers they are. Are they years? Or are they market goals? Or does this drawing reveal a universal law? Everything comes together and the game between all three elements creates a universal law. Gann applied this system to the market but we can just as well apply it to human history. We are not there yet: the square, the triangle and the circle are still static. We have to get rid of the static nature. That will happen in the next chapter.

But first this:

What exactly is TIME? A circle representing the element of time is not that unusual. In most cases our watches are

still round with hands indicating time. Time is traced to the circling of the earth around the sun. Day and night follow each other and our time is based on 24 hours. The moon, from full to new and then back to full, is also a period of time, the month. That is also an indication of time. Rhythms, natural rhythms, eventually repeat, creating time. In all cultures we see the moon cycle and the sun cycle having a prominent role in time, not only in western culture. With this we have pointed out only one instrument, but not really explained time. What is time, a creation of our consciousness? Perhaps we should ask the question in a different manner: Who is Time?

4. CHRONOS

The Time warrior

Who is Time? What an absurd question. Can you say it out loud? Time as a factor is a well-rooted system. To see what the time is we, as people, look at our watches. In earlier times we looked to the sun. Day and night come. A day has 24 hours and then the next one starts. These time anchors are for us mortals boundaries by which we measure time. We age and die but time seems to be something that plays in our consciousness. Thank goodness we have watches and calendars to adhere to and connect with, otherwise we would loose time and our feeling for history would flow away. If anyone from the past could be connected to time then it has to be Chronos. This Greek, mythological god appears in the story of creation, *the creation of the world*, as written hundreds of years before Christ. The story of Chronos gives insight to the understanding of TIME. Let's go back and see what the old stories have to tell us.

Just as in many folk myths, the world in Greek mythology also begins with chaos. The whole universe was in chaos and thus the first Greek god was the God of Chaos. Darkness (Erebus) and the night (Nyx) were born out of chaos. Their children were air (Aether) and day (Hemera). Continuing in the line of succession we arrive at Gaia, the Goddess of the earth. Beside the earth there was the great God Uranus (heaven itself). Chronos was born from Uranus and Gaia (earth and heaven). Uranus ruled over the heavens but was terribly jealous. Three giants, each with hundred arms, and the cyclones rose

from the lap of Gaia. As Uranus could not share Gaia with anyone else he banished the three, hundred-armed, giants and the cyclones to a deserted area. Chronos was the only son of Gaia and Uranus. It was too much for Chronos to see Uranus take such action and so helped his mother take revenge against his father. One day when his violent father approached his mother Chronos attacked and cut off his fathers genitals with a sickle. After this incident Uranus could no longer rule and so Chronos took over powering the universe. Gaia predicted that one day the same fate would over come Chronos, there was no way to escape his destiny.

Chronos' first act was to ban many of Uranus' children. They were held captive and banished to the end of the universe in Tartarus. Shortly afterwards he married his half sister Rhea, who had to help him not carry out his destiny by promising not to keep any of his children alive. For fear of power Chronos ate Hestia, Demeter, Hera, Pluto (Hades) and Poseidon. Nevertheless when Rhea became pregnant with she broke her promise. After giving birth to a radiant baby Zeus, she gave up her oath to her husband and travelled to Crete. To avoid suspicion she wrapped a stone in cloth and gave this to Chronos. He immediately devoured the stone presuming it was his newborn Zeus. This spared Zeus. Rhea left the baby in a cave to be brought up by shepherds (Metis). When Zeus drank the milk from the terrible goat Amalthea he received so much power that he was capable of fulfilling his father's destiny and freed his brothers and sisters.

As an adult Zeus he forced Chronos to spit out his other brothers and sisters. He also set the giants, with the hundred arms, and the cyclones free and declared war against his own father. The brothers of Zeus, the Titans, fought the war with Chronos. All the Gods participated in this most destructive war, the terrible War of the Titans. The Titans had entrenched themselves on mount Othrys and Zeus and the others had positioned themselves on mount Olympus. The Cyclones gave Zeus thunder and lightening as a weapon. Poseidon (Neptune) received the trident and Hades (Pluto) received the ability to become invisible. The three, hundred-armed, giants threw huge rocks at the Titans on mount Othrys. Victory did not take long for Zeus. Zeus took the power over from Chronos and a new generation of Gods began to rule the universe. Zeus was wiser than his father, ruled with higher morals and values and represented the universal natural powers. Not all Titans chose to fight for Chronos during the war. Oceanus and Prometheus fought for Zeus. Finally Chronos was chained and thrown in to Tartarus, guarded by the three, hundred-armed, giants. The War of the Titans was won and a period of peace began.

In Greek mythology Chronos represents Saturn, like in Roman tradition. Greek myths are not solely Greek. These worldly stories have been passed on generation after generation in literature and song. They originate from the Babylonian and Egyptian empires. The Greek tradition has left behind a great legacy. It was a rich and highly documented culture. The story of the creation of the world has many varieties and can be found in many cultures but the core of the story is nearly always the

same. The struggle for power between two gods. Cronos is Saturn and Gann indicates too the relationship between the number '7' and Saturn. We were taught that Chronos was the master of time. Here is the connection, but why?

The beginning of this myth reminds me of the Oedipus story. The mother and the son who are in league with each other to castrate the father. The central theme in this legend of Chronos is however destiny and not the Oedipus legend. Chronos cannot stray from his destiny for he has taken revenge on his blood relatives. One of the worst sins a god/person can make. He reacts in fear and removes what could be a threat. He kills his newborn. The power of life. "What goes around comes around." Chronos has to fulfil his destiny. What Chronos did and what awaited him is the writing of history. Fate is a process of filling TIME.

Chronos was a ruler. He ruled with outwardly power and authority. He abided to his own rules and allowed no contradiction. Like many power seekers, he was afraid of losing power. In this story Chronos ate his own child. Eating your own children symbolizes depriving yourself of growth and progression. Chronos symbolizes the "not being able to go on", "waiting" and "being ruled over". Liberation came to Chronos' via his own blood, Zeus. The synchronicity of human existence is great. The values and boundaries we receive during our youth asks for liberation of ourselves. We carry a huge stone in our stomachs. The symbol of a stone is not coincidental. Ignorance is big. Chronos did not eat his own son but a stone. The stone was hard, unbreakable and not pliable,

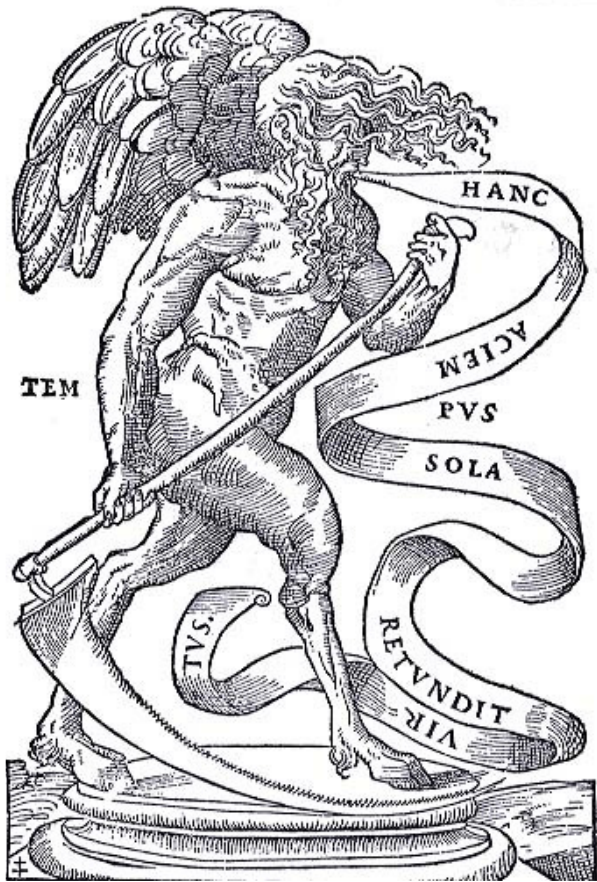
just like Chronos. The struggle between Chronos and Zeus was one of progress (Zeus) and stagnation (Chronos). Precisely this stagnation has been chosen to symbolize time. Time, or as Gann states: Master Time. If there is a ruler of time then that has to be Chronos. Fellowship on the basis of tyranny is connected with time. Chronos (Saturn) as it were, grinds time down by pulling it behind him in the mud, marking the stones of existence and leaving his mark on everything that he touches. TIME happens = history.

The symbol of Chronos goes further. Chronos is matter, earth and stone. A characteristic of matter is its power of attraction. Chronos, in the middle of power and status, pulls and polarizes. The worldly view of Chronos is polarized. It is black or white, good or bad. No grey bits in between. His power is to simplify back to fullness, he can create form. In the myth we see he is capable of ruling. His authority is now characterized by the simplifying of every truth.

He secures it in matter (laws). Chronos' main value is self-preservation, an instinct, "everything has to stay the same". The value of conservatism. A self-preservation instinct can also be seen as a fear of dying. It is the fear of being torn from self acquired power, status and position. The symbol of Chronos (Saturn) is thus bringer of fear but also of self-reflection. Fear penetrates to the heart of the person and those who are capable of looking in the mirror will lead a life of great stability. Chronos (Saturn) is thus the centre of gravity, the masses, gravity

that forms at only one point. In human terms Saturn is heavy on the stomach.

Fig.13: Chronos



Chronos with his hooves and scythe

Zeus (Jupiter) is very different. Zeus is also ruler but of a very different nature. This god gives us freedom and values that are more in tune with human dignity. The struggle between the two gods shows two “Master forces” on the battlefield. There are periods when repression, stagnation and fear rule and other periods when progress, growth and prosperity rule. Both originate from the same blood. Chronos is the father of Zeus yet both powers are incompatible. We need to see it as a continual struggle that plays in time. Zeus is the “natural” one. A god that has come to great wisdom through inner growth. Zeus’ instinct is growth. He wants to live, experience and grow. The knowledge he has, the journeys he travels and the experiences he gains all create wisdom. Zeus leads like a schoolmaster, a professor or a spiritual teacher.

Fig.14: Zeus



Zeus in a Greek museum

The value of time comes from Chronos, but TIME can only become TIME if there is a struggle between another

‘involvements’ (Zeus). We continually see this scenario occurring on the stage of the world. Not only on the markets but, yes, in all areas of being human. We see small struggles at work and great struggles in the world’s, social politics and in many other areas. We continually see movements to one side or the other. We experience periods of great polarisation. Large groups of people who are totally against other groups, opposite many who see an important value in working as a team, fellowship and social community. We keep seeing periods of movement.

The notion of TIME has content if we look at it from the mythological side. But there is another big question. Why does Gann point to Saturn in his text when he writes about the Master Time Factor? In the course "*Forecasting*" from 1935 the word Saturn is suddenly mentioned. All his other texts are intertwined with references from the Bible but here is the word Saturn. There is a reason. The Ticker interview leaves no suggestion open. Gann does not want to reveal his secret but does however mention Saturn in his text. There is a relation between time and Saturn: the God Chronos as the ancient Greeks described him. Nevertheless we cannot see Chronos separate from Zeus, Jupiter. The reference is obvious and many before me have indicated the possibility that Gann made a connection between the Master of Time factor and the War of the Titans, between Saturn and Jupiter, or rather Chronos and Zeus.

5. THE GREAT CHRONOCRATORS

Factoring the Time

Jupiter and Saturn are also called the Golden Clock. They are the two largest celestial objects (apart from the sun) in our solar system. In ancient times the cycle between Jupiter and Saturn was also called the Great Chronocrator. The reason is hidden in the myth of Zeus and Chronos. The cycle development of both planets is of great influence to human life as it represents the basic principles of ideas, potential, possibilities (Jupiter) and its concrete manifestation (Saturn), but also of expansion and growth (Jupiter) against polarisation and stagnation (Saturn). Both planets are basic instincts, the one (Jupiter) has the need to grow, the other (Saturn) the need for boundaries and manifestation. The struggle between both instincts is the mutuality between growth and expansion against restriction and stagnation. The resulting power of Saturn is stiffening and stagnation, leading to 'Death', whilst Jupiter undoubtedly wants to grow past saturation point. The struggle between the two is the weighing scales that are looking for balance. As soon as there is too much stiffening and stagnation the need for growth and progression awakens. Just as form and security are needed in a period of extreme growth and expansion. Boundaries are needed; self-enrichment goes before altruism.

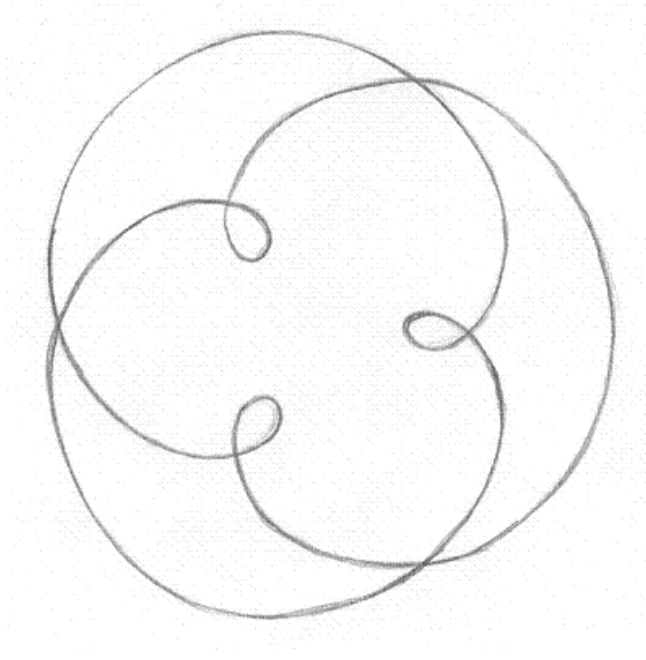
When Jupiter and Saturn are together in the skies (conjunct) then it is seen as the beginning of a cycle. At this moment social structures in the community can

drastically change and business and countries can also develop their own identity. The beginning of the cycle is the point when the natural growth is at its highest point. The need of growth seems to be without boundaries. Possibilities seem to be limitless and the need for self-enrichment plays a strong role. Then form (Saturn) takes over from growth (Jupiter). Unlimited growth no longer seems unlimited. The top of the mountain has been reached and the only way is back. Here begins the struggle between the two forces and every transitional phase is typified as a period of struggle and conflict. With every turn of the cycle periods of panic, conflict and misery begin. That is the fight between two forces.

The cycle between Jupiter and Saturn is a relatively short one of nearly 20 years. It takes about 20 years for both planets to meet again at the same level, as seen from earth. Only the point at which they meet in this cycle is different every time. During the last century the cycles of both planets began in the zodiac sign Taurus. The second time they met, 20 years later, they were in Capricorn. This point was 120° further. The next meeting took place in Virgo/edge of Libra. This point was again 120° further than Capricorn.

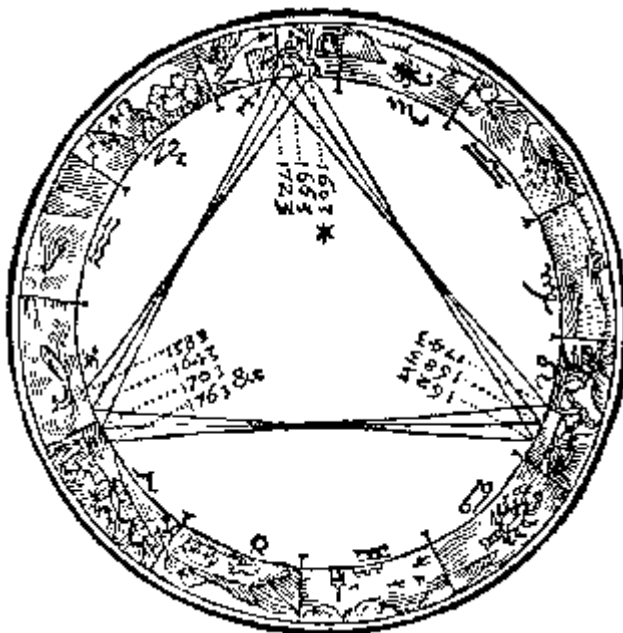
After 60 years both will meet again in Taurus at the same level. Below you can see how the cycle develops and that both planets will be at nearly the same point in the zodiac when they meet again in 60 years time. A sort of ritual dance.

Fig.15: The dance between Jupiter and Saturn.



The 60-year cycle resembles a large triangle. It was Johannes Kepler who first observed this large triangle. Below Johannes Kepler's (1571-1630) observations. He had already discovered this triangle pattern between Jupiter and Saturn, more than a hundred years ago.

Fig.16: Kepler's discovery

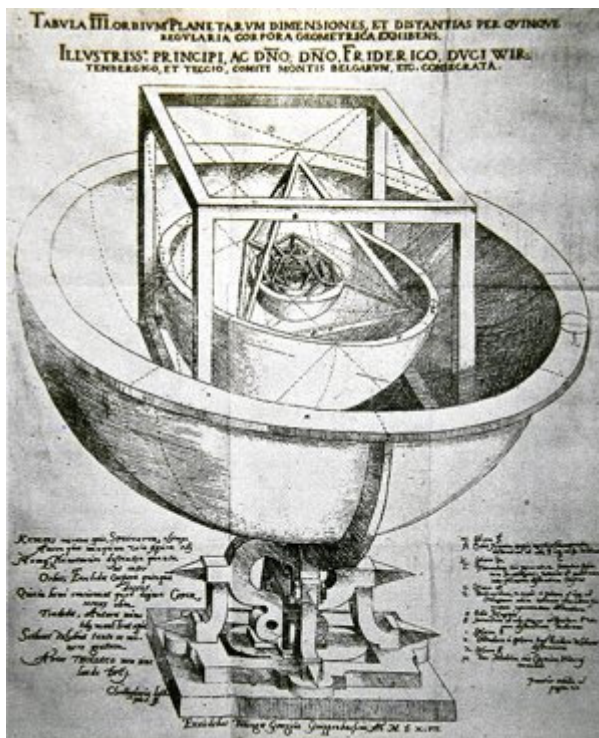


Cycle development of Jupiter and Saturn

Back to the present. The huge triangle in the skies begins in Taurus. In 1940-1941 both were in Taurus. In 1961, 20 years later, they stood together in Capricorn. Finally we saw both for the third time in Libra during 1980-1981 (edge of Virgo). The period of conjunction can take from a number of months to a whole year. The next cycle start will again start in Taurus. In May 2000 both were together in Taurus, the starting point of the present Jupiter/Saturn cycle. This present cycle ends in 2020 with both planets then at the edge of Capricorn/Aquarius. The Jupiter/Saturn cycle is not

quite 20 years. The large cycle takes 19.9 years. Multiply the cycle by three and you arrive at 59.6 years. For this reason the exact point, 60 years later, shifts a little from the last (8° difference) and runs in the opposite direction along the zodiac. The great Master Time cycle is 20 years or multiply by 3, 60 years. This cycle represent the great triangle that Gann mentions in his work, thus the cycle between Jupiter and Saturn. Now we know what it is!

Fig.17: Kepler's geometrics of the universe



The Universe according to Kepler

But now still the square. In Gann's drawing we not only see a triangle but also a square, just as in the drawing from Kepler. The following statement from Gann sheds light on his theory about the division of the four corners in the circle:

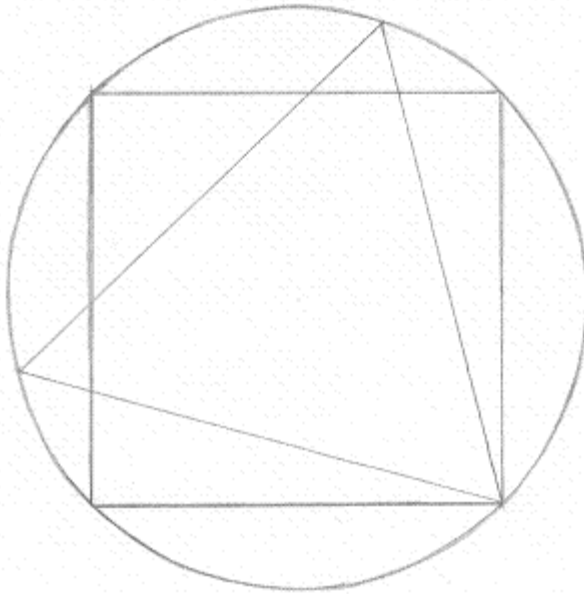
Gann: The next important major cycle is the 30 years, which is caused by the planet Saturn. This planet makes one revolution around the sun every 30 years. Saturn rules the products of the earth and causes extreme high or low prices in products of the earth at the end of each 30 years cycle, and this makes Stocks high or low. The most important cycle of all is the 20 years cycle.

The total length of the cycle between Jupiter and Saturn is 20 years (or multiply by 3: 60 years). Within the 60 years Saturn goes twice around the zodiac in two cycles of 30 years. The half of the Saturn cycle is then 15 years. Every 15 years represent one of the four angels of the square (see figure 18). Gann called this the one most important cycle. The four corners within the circle of 360° represent a period wherein Saturn stands in an opposite position from the starting position of the cycle (the start point is the conjunction with Jupiter). But in fact it is the 90° point in Gann's figure.

An example: the position of Jupiter and Saturn in May 2000 was, at the beginning of the cycle, is in Taurus (the conjunction). 15 Years later Saturn will be in Scorpio, 90° further in the figure. Saturn goes, during

this 60-year period, twice around the zodiac, so every period of 15 years ends with Saturn being exactly opposite the point where he began, conjunct with Jupiter. Thus Jupiter creates four angles. Every 15 years there is talk of a definite turn in sentiment and after every 20 years both planets come together creating a financial economic turn around as well as a social political turn.

Fig.18: Circle, triangle and square



This is the basis of the Master Time Factor as Gann wrote it in his books. One cycle is dominant, above all the rest and that is the Jupiter/Saturn cycle. All other planets have influence on this cycle but they are not the

dominate factors. The different deviations find their origin in the time elements that Gann wrote in his Master Time Factor. We should not see the period of 20 years separate from the total course of the 60-year cycle. The large triangle and square in the circle belong together. The combined action between these three is of great importance, none of the cycles can be seen as separate, they are all interwoven.

The Jupiter/Saturn cycle has a course of 20 years but a combined course, along the zodiac, of 60 years. After 60 years they meet again in the same sign, at nearly the same degrees, in the zodiac. We can now better understand why ancient cultures refer to the period of 60 years. Does history repeat itself every 60 years? We can trace this in the Indian Veda's and in Chinese tradition. The cycle of human life is 60 years, divided into three equal parts of 20 years within the 60-year cycle. However the ancient Vedic books state that the real Master cycle is 120 years and not 60. That is twice the total course of the cycle of both planets. Chinese tradition states something else again. The 60-year cycle is seen as the basis cycle in the 9 Star Ki astrology. The length of 60 years is equal to the phases of life for a human. The average age these days is a little higher but the cycle course is equal to the period of three cycles of 20 years. The Great Cycle, The Master Time Circle is not really 60 years but three times 60, therefore 180 years. The 180-year cycle is made up of 3 times 60 years and 9 times 20 years. This basis is continually the same - the 9 Star Ki elements of numerology. Gann made this puzzle and his results were amazing. Every

period is an octave higher or lower than the period before. It is the coming together of the same forces. Resemble your own life? Of course, in our own lives we see the same themes returning, only never in the same manner. Every theme transforms and never returns in the same form. It resembles a piece of music where by the octaves constantly change but the melody stays the same.

A quote from Gann:

Gann: "GREAT CYCLE: 60 YEARS: This is the greatest and most important cycle of all, which repeats every 60 years or at the end of every third 20 years cycle. You will see the importance of this by referring to the war period from 1861 tot 1869 and the panic following 1969: also 60 years later – 1921 to 1929 – the greatest bull market in history and the greatest panic in history followed. This proves the accuracy and value of this great time period."

In this quote Gann makes an interesting social and economic connection. History books state that the American Civil War was between 1861 and 1869. The Civil War went on for a long time only the climax of the war was between 1860 and 1865. It was a period of great social opposites. The southern states (9) were poor but the 23 northern states in America were extremely rich and their armies were strong. It was also a period when new leaders emerged. Leaders with new zest and with new ideas. Abraham Lincoln stood up as a republican and fought, in his eyes, for keeping the unity and

abolishing slavery. There were many cotton plantations in the south that were maintained by slaves. His election in 1861 was seen by many southern states as a provocation and one after another they stepped out of the unity. First South Carolina and then Florida, Mississippi, Alabama, Georgia, Louisiana and Texas. Consensus was Lincoln's slogan and that had to be fought. This also led to the Civil War in 1864, which was won by the Northern Alliances. Lincoln was a strategist and knew how to isolate the southern states. Europe chose for the northerners and saw the southerners as barbarians. The southern states were dependant on their cotton plantations and demand fell due to the European boycott. Lincoln was killed in 1865 after the onset of his second term. In his inauguration he pleaded for unity of the nation. He spoke hopeful words that still stand engraved on his memorial: "With malice to none; with charity for all; with firmness in the right, as God gives us to see the right, let us strive on to finish the work we are in; to bind up the nation's wounds." The power of these words had great meaning after a period of opposition and polarisation between north and south. The economy grew until about 1869. A long period of stagnation followed, past 1870. The economy was greatly supported by the war yet the investing climate remained low.

Now the connection with the period 1921 to 1927. During this time the radio and the telephone emerged and banks and financial concerns became large and important institutes. The railways also fell into the last category. All over it was a time of growth. New York was the cultural and financial centre of the world. The city which had

built the first skyscraper; where growth went right up above the clouds. People had money and growth was unlimited. This led to a boom in 1929. The share markets rose to great heights before falling. The railway businesses, which had flourished during the years before, suffered. The banking world that had also held a very strong position didn't seem to be able to withstand the downward spiral. Many financial organisations collapsed and the economic disaster that followed left deep scares behind in history. After the economic down fall new leaders emerged. Franklin D. Roosevelt developed the New Deal Programme and invested in a collective sector. Its effect had to wait a while as a new recession occurred after 1937 and a second New Deal was launched. The economic down slide and political renewal lasted 15 years. Just as Lincoln Roosevelt (1932-1945) also became one of America's great presidents. After the second war it took some time for the economy to recover but with the Marshal plan a new period of hard work and economic growth started.

The comparison between 1861-1869 and 1921-1929 is great. Not only in economic terms but also in political, social context. Both were periods of growth and a hard landing for the economy, followed by a long period of recession and war. Political and social polarisation and opposition led to reflection and leaders that carried the message of unity and uniformity.

It was an interesting comparison that Gann made of the two periods 1861-1869 and 60 years later 1921-1929. Let us check out the parallels. The comparison of the 60-year

cycle in the period that Jupiter and Saturn meet each other. It is simple: if we keep looking 60 years back in time we can find similar patterns. American history is good for this. The following diagram is a summery of 4 cycles of 60 years side by side. The start of each cycle is the year wherein Jupiter and Saturn stand conjunct in Taurus. They were the years 1820,1880,1940, and 2000. The starting point is the moment when Jupiter goes *over* the position of Saturn, as we see it from earth, the approaching phase. Jupiter travels faster through the zodiac thus goes into the position of Saturn. The incoming phase, when Jupiter moves towards Saturn, is the phase wherein Jupiter gains power. The moment that Jupiter is over Saturn, Jupiter's influence decreases and Saturn's increases. This exchange takes about a year. During this time political and social polarisation takes place, conflicts begin and markets make hefty movements.

Take the period 1880. In 1880 the exchange took place between Jupiter and Saturn in Taurus. During this period Chester Arthur was president of America. The abolishment of slavery was again a topic of political debate. In the southern states local laws turned the acquired rights back. This again led to conflicts between the north and the south. It was also during this period that the last battle was fought with the Indians, the battle of Wounded Knee. This broke Indian resistance for definite. America was also growing. The people wanted to hold back the flow of arriving Chinese. New laws: 'Frontiers' had to withhold the enormous stream of new immigrants. It was a period of increasing polarisation and opposites.

History books write about a “no tolerance” policy. Hard measures and confrontations were not withheld.

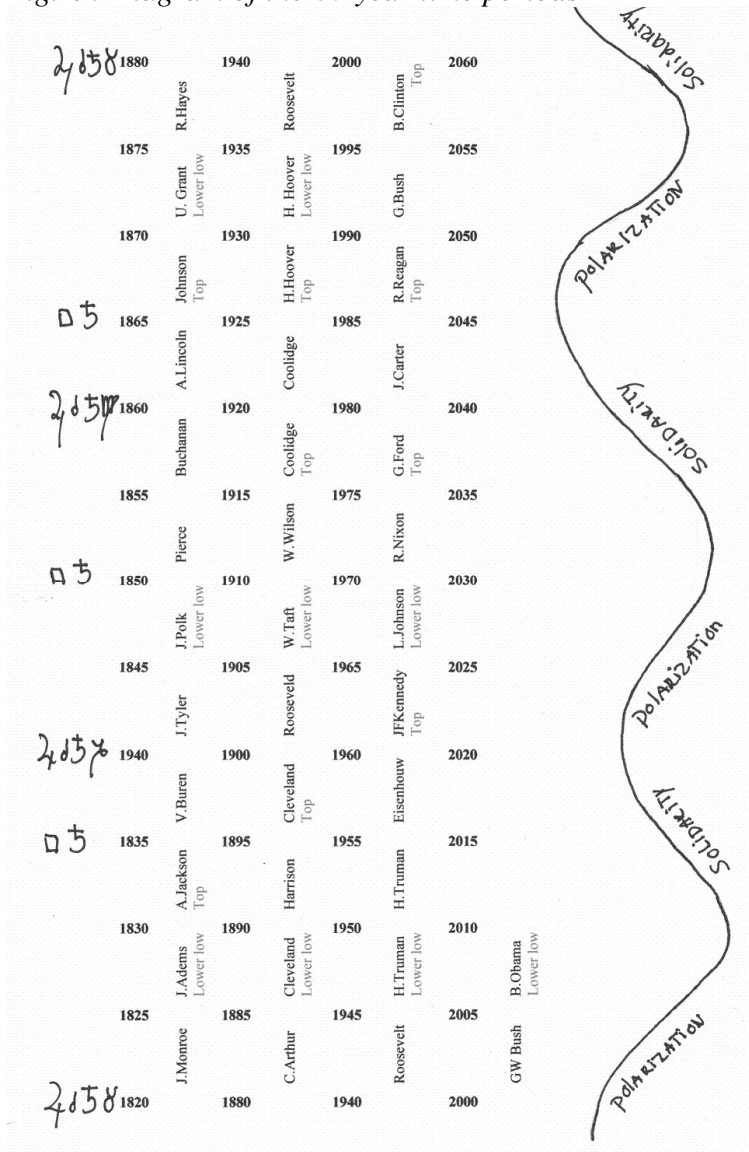
The period 60 years later, 1940-1945. This was the beginning of the Second World War: 1940 when Jupiter and Saturn stood together in Taurus. Franklin D. Roosevelt had then already been president for nearly 6 years in America. With the second New Deal programme from 1937 the idea had developed that working hard could dam the crisis. In other countries it wasn't very different; large infrastructure projects were set up. Years of unemployment and crisis had led to unity and dedication. The Second World War was no legend. The arrival of Nazi Germany created extreme polarization and conflict. Great political and social opposites took place that led to the greatest and most hefty war ever. The “we-them” way of thinking is characteristic to polarization. Nazi Germany and the prosecution of the Jews is an extreme exponent.

The next meeting of Jupiter and Saturn happened in 2000. This period signalled an enormous growth in prosperity. The arrival of the high-tech sector and great economic growth created a period of extreme wealth. When Bush came to power in 2001 the rhetoric and feeling soon changed. The attack on the World Trade Centre and the Pentagon brought the east-west relationship under scrutiny. The Islamic culture versus the Christian, western culture, both being totally opposite to each other. The rhetoric of Bush said it all during this period: “if you are not for us then you are against us!” The symbol of opposition and polarization. Year 2009

and this polarization is still in the air. In many western countries there is criticism about the Islamic culture and visa versa, in many Islamic countries there is criticism about the western culture. Again we see the 'we-them' way of thinking. Opposites only seem to be translated in something that we call either good or bad.

The beginning of a period where political, social polarization occurs is thus the moment that Jupiter and Saturn come together, an exchange. Saturn takes over from Jupiter and can not help but create great conflict and tension. The wave movement is downwards and the opposition between cultures increases drastically. The economy and the financial markets don't strictly follow this downward movement but periods of decline often occur when Saturn takes over from Jupiter. There are always wars but the wars during a downward movement of Saturn are polarized, are hefty and stay with us for years.

Fig.19: Diagram of the 60-year time periods



Back to today. The Jupiter/Saturn cycle has at the moment come to the underside, as you can see in the diagram above. The period when Jupiter and Saturn stand right opposite each other (opposition, 180°) will be the case in 2010. The curve swings up and Jupiter's influence will reign until 2020. On the eve of the change of guard between Jupiter and Saturn the elections 2008/2009 took place. Obvious struggles between the 'old' and the 'new' values were seen. Barack Obama's slogan is 'change' and that fits in very well with the period in which Jupiter increases its influence. His 'tone of voice' is opposite to that of George Bush. No polarisation but cooperation, unity and the collective are taken as a starting point.

We are going to go back again 60 years from 2010 to 1950. During this time Jupiter and Saturn were also opposite each other and Jupiter's influence was increasing. In 1950 Harry Truman was president of the United States. As democratic president he stood in the shadow of Franklin D. Roosevelt. The war had ended and rebuilding had started. Great investments were made and Europe had joined forces to rebuild. This was also the beginning of the Cold War and the war in Korea. The contrast between the communist and the capitalist states began to brew right after the Second World War. The Cold War lasted a long time, about 60 years. The heftiest period of contrast was between the 40's and the 80's, the last period of Reagan. The Cold War had different highs and lows. Harry Truman was a little less complying with Stalin than Franklin D. Roosevelt but there was never talk of a deep point. The period of Eisenhower is another

10 years further in history and is characterised by strong polarisation between two super powers. The years that followed the Second World War had more polarisations but were especially aimed at rebuilding and uniting nations to create peace. The wounds were deep and grief was great.

Let me take you further back in time. Even though John F. Kennedy was without a doubt a president that went under the influence of Jupiter; he was also president at the moment that Jupiter and Saturn were in opposition in Capricorn. Again a period when contrasts were great. It had to be, the Cuba Crisis hardened the Cold War between east and west. At the same time the Vietnam War broke loose. The war left deep scars behind and the people (years later) were brought to stand against each other.

During the period of Richard Nixon, Jupiter and Saturn were at their lowest point. Both planets were opposite each other in 1970-1971. During Richard Nixon's presidency the Vietnam War ended. Nixon is especially remembered for the Watergate affair and the Nixon tapes. These affairs shocked the world and created a lot of indignation. In 1974, after his second term, Nixon ended his presidency of the United States mainly due to misuse of his power and the constant pressure to lessen the power of congress. The economy was miserable and there was much need for political integrity. One that did not eavesdrop and attempted break-ins. The question is whether the public answer lay in Gerald Ford or Jimmy Carter. The economy was not very strong in 1974 but did

grow towards the 80's. It was also a time when many people began to experience freedom. Many young people fought their way to freedom after the war and grouped together. The flower power movement that had developed years before blew as a hurricane over the world, especially at the end of the 60's and half way through the 70's. These years were about regaining and unity. The struggle of Jupiter increasing to Saturn.

We see that periods of polarisation and unity have created deep troughs and high tops but also periods where the edges were not so sharp and the troughs not so deep. The course of the economic crisis' are also not totally equal with the different tops and troughs from the Jupiter /Saturn cycle but many crisis' come in the period when Jupiter and Saturn are on the way down. The path on which Saturn's influence is increasing and Jupiter's decreasing. The last is also true for wars. Especially the wars that start in the downward slide of Jupiter and Saturn's cycle are severe and lead to massive polarisation between population groups. These wars and conflicts will not soon be forgotten. They are engraved in our memories. The past 10 years has not been different. The east west relationship had sharp edges but the period of polarisation is strongly on the decrease at the moment. Attention is on the world's economic crisis. It affects us all and this will bring us more together. The first sounds have been heard.

Now, at the beginning of 2009, Barack Obama has stood up as our new world leader and positions himself with more hope for a better future. He seems to have a very

challenging assignment in front of him; the big spending has already started. The privatising of the banks and government interventions is just as actual as in the 30's and 40's from the last century. New leaders emerge exactly when the radar from ancient systems has got stuck in a rut. It is also not so surprising that the banking sector has received the hardest hit. The time has come to say goodbye to this sector and let the high-tech sector grow to its fullest potential. If we connect the dividing lines together then it will be the new technology businesses who will, in the coming century, become the new institutes and gain great power. Big businesses, with a good reputation and power, as once the banks and railway sector had. Who knows how we will look back, in 2060, to the banking sector. Just as the railway industry after 1929? There is also nothing left over after the bubble of 1929.

Also look at the theme of the 60-year cycle. The 60-year cycle from 1940-2000 was mainly in the theme of the Cold War. The contrasts between two totally different political systems passed with peaks and troughs in the 60-year cycle. The same can be said for slavery. The 60-year cycle between 1820 and 1880 had contrasts between different human concepts. The use of humans as slaves was a long time struggle between people who were for and against it. Another long-term theme was the concept of a cheap work force, the industrialisation between 1880 and 1940. Freedom was also created here. Human values won the day. The present 60-year cycle has, in my opinion, two dominant themes: the arrival of the high-tech economy and the contrast between east and west;

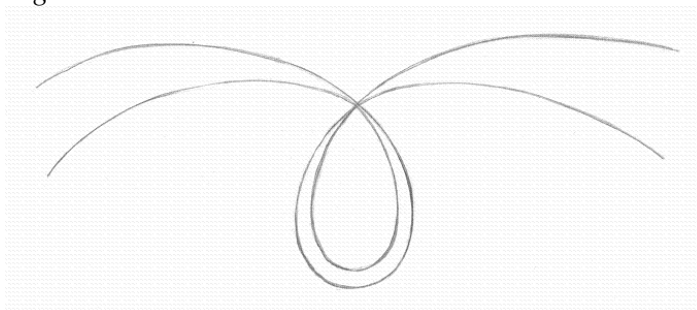
between the Islamic and the Western-Christian culture. Both themes could well remain dominant until 2060. The high-tech industry is going to totally turn our world upside down. The unthinkable is now possible. Social bonds are going to be torn apart. The closeness of small societies that have existed together for hundreds of years with their own certain patterns, are now changing radically. The Second Life generation has emerged. Human bonds are being created with people who would never have met before. These people live over the whole world and are now forming new, close, communities. Then the east-west situation. Globalisation is growing fast whereby certain specific cultural characteristics of people are coming under pressure. The contrast between the Islamic and the western, Christian culture puts globalisation on edge. There is a great need to keep ones own cultural characteristics and not admit others. I judge not over good and bad. Advances to learn from each other's culture is far away and the tension has greatly risen over the past 10 years. I however, think that the tension between cultures will decrease in the coming 10 years but it is still my opinion that in the coming 55 years the theme will reoccur but in different grades and 'octaves'. Yes, it seems as if the world's cultures will join in one melting pot but not without pain. This again is not a moral judgement. The movement has started and the theme unity and differentiation within the variety of cultures is an important field of tension on this planet where much improvement can still take place.

6. THE NEW TIME

Looking forward

The kiss is what they mentioned it: the equal position of Jupiter and Saturn seen from the earth (conjunction). Both stand equal, or as astrologers name it, conjunct. Visually this position looks like a 'kiss and goodbye'. The ritual dance between Jupiter and Saturn is shown in the diagram below. They constantly turn at the same tempo around each other. During a period of 60 years Jupiter makes a loop around the zodiac 5 times and Saturn twice before they meet each other again at the same point in the zodiac. They start in Taurus, the sign of arduous labour and hard work, activity and the having of money. The second meeting takes place 20 years later in Capricorn. During this period a lot happens politically and socially, when changes occur that will have influence for decades. The meeting after that takes place in Virgo or (edge) of Libra. Virgo is a introvert sign. A sign that is more open for service to others than self-interest. It is also a period when unemployment arises.

Fig.20: the kiss



In olden times there was talk of a full cycle when you became 60 years old. The themes at the beginning of the cycle are the same as at the end of the cycle. In between the colours tarnish and many different layers take place. There are peaks and dips, moments of growth and flourishing and times of stagnation and decline. The life of a human is no different than history itself. The railway industry grew and flourished and ended at the end of the 60-year cycle period. The banking world could be in for the same fate and for the coming time all attention is focussed on the .com world. In the year 2009 it doesn't seem as if .com is having such a great influence but for those of you who look at the shares, you can see that they have not been severely punished by the general malaise on the markets of 2008. We have started with a new cycle and until 2060 we can expect periods of stagnation and growth.

What are the most important moments for the coming years? Gann actually offers these as a present. The build up of a cycle is as simple as making a

calculation. The periods when they stand equal to each other and the periods when they are opposite each other are both important.

In May 2000 Jupiter and Saturn stood equal in Taurus. In March 2060 they again stand equal in Taurus. The theme at the beginning of this period was the .com sector. The passing around of knowledge in all sorts of manners and forms. Internet, telephony and television are all growing towards each other. The arrival of the knowledge technology has been good for the service industry, also called the tertiary sector. We are capable of creating a whole community when we ask advice from each other.

The cycle of Saturn and Jupiter can be seen as political and social breathing. Periods of polarization and contrasts in political streams and opinions increase in certain periods and are followed by unity, tolerance and growth. Peace treaties are signed when Jupiter is increasing in power and wealth is acquired. As soon as these periods reach a climax the sounds of polarization are again heard. Unrest between citizens, a split between the politics and its voters and contrasts in attitudes and culture increase. Self-enrichment is contested. Not long after that there is often a moment when political opinion is triggered. Accidents happen, attacks committed and public opinion turns like a leaf on a tree. It has always been that way and it will continue to do so. The periods of polarization and tolerance seem to occur in waves of 10 years. Every 10 years we enter a different period,

first the contrast in public opinion is on the increase followed by a 10-year period of tolerance and acceptance. Even during a long repression, like the Cold War, there were periods of tolerance and acceptance. Nothing stays the same in life; everything is always on the move. Take the Revolution of Prague and the Provo movement. Even though there was a lot of conflict, as in the late 60's and beginning of the 70's, large groups of people were calling for peace and tolerance. This was the Jupiter influence delivering conflict against the 'old' established order. The waves of polarization and tolerance are not naturally equal to each other. There are many more cycles than just the Saturn and Jupiter one, many planetary movements have influence. That cycle is however the most important and the waves we perceive are immensely strong. Now, in February 2009, we can look back at the election between John McCain and Barack Obama. The struggle between the two candidates was mainly about saying goodbye to the past. The Credit Crisis is an absolute trigger to get the people to make choice for 'Change' (Barack Obama's slogan). The arrival of Barack Obama brings a period of tolerance, leaving behind a period of polarization and struggle. The turn is indisputably strong. However we are not there yet. We still have to reach the bottom of this wave, sometime half way through 2010. It will not only be a time of turn around but a period of growth and also polishing, massage and tucking in. These last concepts also come under the influence of a strong Jupiter. The need during the coming 8 years will most probably be

for growth, tolerance and unity. This will definitely happen on social political grounds but not on economic grounds. We are still waiting for this 'growth'. The economic and the social, political cycles do not stand equal. We need to look wider at the planetary movements. Let me give you a peek into the future on the hand of a variety of planetary cycles.

During the coming years there will be a great decline in our need, for more or less, all materialistic things; things that we are attached to and we think provide us with security. Even though the Jupiter cycle is increasing in power and the cycle turn around with Saturn is pending (the 180° position), many other planetary movements are in the sign of the ruler of Saturn, Capricorn. The years running up to 2014 are mainly in the sign of Capricorn and are generally negative. A negative Capricorn has influence on pensions, banks, buildings, governments and inflation. These themes will play a role until 2014 and possibly until 2020 and will time after time reach the newspapers. It is not all bad news. The present negative cycle ends at the beginning of 2014, after this the markets will again rise for about 5 years.

It was only a year ago when banks and Hedge Funds held great power. The granting of credit knew no end and faith in the financial system was immense. Neither banks nor governments had restrictions. The buying of cheap Dollars and Yen, packaging them in mortgages and other forms of loans, led to

unparalleled enrichment and wealth. The banking world was good to be in, until 2007. But these packages seemed to contain many untrustworthy loans. The selling and writing off of these bad loans led to a chain reaction in selling. Investors pulled back their investments and compulsory selling followed. Hedge Funds fell and many banks wobbled on the edge of existence. The crisis on the financial markets has cut like a knife into the world's economy. Something that no one had expected was the great reaction to the compulsory sales. It was more than booking bad 'packages' it was a crisis of faith. People lost faith in their bank and withdrew their money. This is one of the greatest fears for banks. Looking back over the past period we see that the top in 2007 was not one of the most important. During 2000 we saw tops in most of the markets. The Dow Jones was higher in 2007 than in 2000 but if we calculate inflation over the markets then the top in 2007 was also lower than the top in 2000. Nearly all the markets of the world had higher tops in 2000 than in 2007. The downward trend started thus in 2000 and not in 2007. The decline in value and the worsening of the economy had already been going on for some time before the beginning of the crisis in 2007. People still spent a lot of money but this was on the basis of loans, surplus value on houses and from the sell of houses. The spending spiral came to an abrupt halt in 2008.

Things were not much different twenty years ago, between 1987 and 1988. In 1987 there was a huge

need to invest but in 1988 everything came to a stand still. This was only 20 years ago. The decline of the market is serious and the present themes are many times heavier than in 1988. If we look at the cycles of other planets then we must come to the conclusion that the markets will still continue to consolidate for quite some time. If we continue the line from Gann through with his 60-year cycle, then the period 2042 through to 2060 will be extremely bullish as the best chances lie at the end of the cycle. There will be bullish markets that will reach further way further than the present tops. I hope that you will get very old. Until then we will have longer and shorter periods of bull and bear markets. Periods that alternate with each other and without a doubt produce good yields but that again and again lead to decline. What do we have to thank for this? What can we expect in the coming period?

The most important period that lies in front of us is the period until half way 2010. But we shall begin at the beginning. From March 2009 until the beginning of 2010 the 'stars' are definitely not bad. Possibility of strong rise on the markets. The markets can recover from the great decline from 2008 but the growth will scale down again quickly. 2010 will be dominated by strong inflation and the Dollar will most probably strongly decline. During the time that Neptune and Jupiter are conjunct with each other, as seen from earth, then the currency crisis will increase. It is not necessary the conjunction between the two, but the constellation the two make with Pluto and

Saturn. The last are about loss, stagnation and putting the brakes on. All signal the pressure on currency. The Dollar reserve is large, the billions of dollars that are being pumped into the market is making the currency weak. Many reasons indicate that it will be the Dollar that will suffer during this period. The financial markets will be affected. Should the shares be higher at the beginning of 2010 then there could be a lot of stress from the increased inflation. The banks will also be under pressure with a negative Pluto in Capricorn and a negative aspect between Pluto and Saturn. The money machine will falter and stop. Investments will be postponed or no longer made.

To see the wave movements of 'spending' and 'shrinkage' astrologers look to the cycle course of Saturn. Every 2½ years Saturn goes into a different sign. During 2006 and 2007 we gladly spent a lot of money. Even though many people spent money that was not from them (but from the bank), it is typical to the period when Saturn runs through Leo. From the end of 2007 economic faith diminished and from then onwards people were a lot more careful with their money. In November 2007 Saturn changed signs, going from Leo to Virgo. Saturn in Virgo brakes spending and is thrifty. In 2008 a major change took place in the spending pattern of many people. The Credit Crisis was like a sledgehammer. The idea that bad times were on the way created very different spending patterns. Virgo also represents the working class. It is not so strange to see masses of people

being laid off and trouble in the service industry when Saturn is going through Virgo. In October 2009 Saturn went through Libra for a short time, to return back again a little later, but from July 2010 it will definitely pass through Libra. From half way 2010 until 2012 Saturn will run through Libra. A period when a new balance will be searched between spending and income. Everyone will have to find a new balance in his or her household purse. Careful investments will start up again and activity will increase. The focus is no longer inwards but outwards. This creates movement and movement is good for activity but there is definitely no talk of expansion when Saturn is going through Libra. This is not good for small businesses and especially for businesses that offer advice. Libra represents the one – two relationship. The ‘me’ and the ‘other’. With this in mind we usually see Libra businesses often as advice businesses. With Saturn travelling through this sign we usually see stagnation with these sorts of businesses.

Pension funds will probably go through hard times during this period. Funds are weak under Libra, especially when Saturn makes a negative aspect with Pluto (square) and stands opposite Uranus. The ways and means evaporate (Pluto invisible) or dilute as the value of money declines. The period between August 2010 and the end of 2010 will be an especially difficult time. The discussion about extending the age of retirement and raising premiums will become actual during this period and decisions could well be

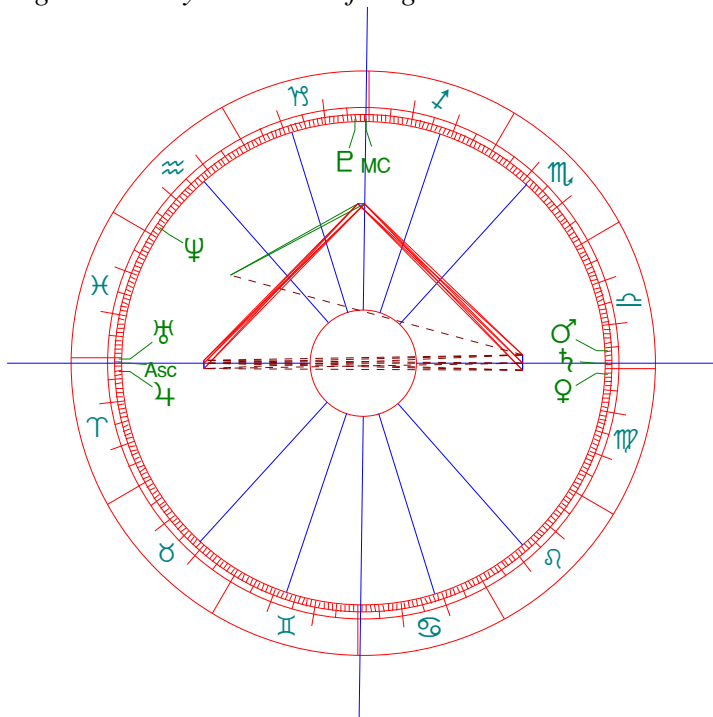
made. I wonder how the public will react to such measures. As treasurers the pension funds are not much better off than the banks. They have also not looked after their money well.

The Obama government is searching hard for consensus and is trying, compared to Bush, to unit people and nations. Unity and dedication are words that Obama, as it were, breathes. These words fall right into place with Saturn in Virgo but, with Saturn in Libra, they take on a whole new meaning. During these periods settling conflicts between nations and groups does not seem so simple. The distance is great and sometimes unbridgeable even though the natural movement is to settle conflict. Saturn in Libra, as it were, splits the one from the other so that they cannot reach each other yet the need to meet is relatively great. This is typical for the period Saturn running through Libra. The need to resolve to create peace is great but result lags.

During August 2010 a wonderful triangle appears in the skies. Saturn together with Mars are in first degree Libra, Jupiter together with Uranus in first degree Aries and Pluto in the first degree Capricorn. This so-called T square is, astrologically seen, extremely strong. The rowdy Jupiter (Zeus), Uranus and Saturn (Chronos) are bridged by Pluto (Hades), as he stands in between, in the Cardinal cross (the first signs of the zodiac, Aries, Libra and Capricorn). I wrote about this in the first chapters. The Cardinal cross is 'the' most important fixed point in time

according to Gann. When such great planets stand on the points of the cross then they have great meaning. The 'invisible' Hades (Pluto) can create a lot of damage. Out of nothing movements can be created, that have no way back. The 5th of August 2010 is in my opinion the middle point of this cycle. There are more planets involved in this large T-square. Mars (conflict), Venus (currency), and Neptune (oil) all have a place in this larger T-square. The Venus-Mars-Saturn conjunction can lead to the fall of the currency market and the flowing away of a lot of money (Neptune 150° Saturn). The fire sign Aries, where Jupiter and Uranus are in, urges impulsive and energetic decisions. But with such a position it cannot be ruled out that these strong decisions could have the opposite result. Conflicts can occur like a Jack in the box (Pluto). Conflicts that can lead to war and repression. The second half of 2010 promises to be a very stirring time that will ask much from world leaders and will require rest and wisdom. Armed conflicts could well be an issue with such a strong Mars Pluto position and if we look at the course of the cycle then we see that these conflicts will not be directly resolved. August 2010 will be branded in history. The highest point in the fight between Jupiter and Saturn (Zeus and Chronos), a War of the Titans.

Fig.21: the sky on the 5th of August 2010



Where is the angel that will come and rescue us?
 Where is the government then? They are still the powerful innovators in the year 2008-2009. Nearly all governments have invested billions in banks and other sectors. During the 30's, from the last century, they would have stayed on the sideline and not contested with the crisis. The present idea that governments cannot let the monetary system collapse has led to severe interventions that should have stopped worse happening. But half way through 2010

these authorities will no longer stand so strong and it will be exactly these who will be the talk of the day. Saturn will no longer be in Virgo (the administration) but in Libra. Authorities, especially the bureaucracy, are weak in this sign, for sure Pluto in Capricorn negative. Mars also pays a visit to this constellation in August 2010. Halfway through 2010 the governments will no longer be able to pump money into the market without being punished. Many countries will then also suffer from shortages on their balance. This is a bad period for them, to what extent can countries go bankrupt, or will they be pushed up against the wall? Governments will be forced (Pluto) into reorganizing, changing and will be asked to come up with new forms. This will not be their own choice but forced upon them. The opposition between Saturn, Mars, Jupiter and Uranus is one of fear against hope, stagnation against renewal. Hardly ever has there been a more powerful T-cross in the skies, as seen from earth, whose influence will become visible socially, politically and on the financial markets. Just as in the struggle between Zeus and Chronos the winner has already been decided. Jupiter is the fast moving planet in this constellation and will be the one who will eventually create new growth. If no angels turn up to rescue us then 2010 will be a disaster year for the banks. A bad investing climate means the death for many financial establishments. The increase in value lies in prosperity, investments and rising share rates. If these three elements are not present then the power will be drained from the banking system. The crisis on the financial markets

could well then lead to a different sort of bank. The 'old' way of banking will be cleaned up. We are already seeing more internet banks arising, offering good interest rates. A lot of investment capital is disappearing from the 'ancient' world and being able to deal with your own finances in a fast and flexible manner fits more in with the present. Press a few keys and your money is on the other side of the world. There is no way back, this area is also in for globalisation. During 2008 many people changed their banks. The power of innovation is needed in this sector but dead structures stand in the way. During the coming 10 years things will drastically change in this branch. The chances no longer lie in the 'old' sector but in the new and innovative banks and administrators.

With a weak Saturn and a strong Pluto and Jupiter we can expect that many (political) leaders will leave the field. The influence from Pluto will make it a forced and unavoidable choice. People will make choices only it will be something that 'happens' to them. Especially those in the 'old' establishment, with Saturn's powers. The strong Uranus in this Cardinal cross is the bringer of the 'new'. Looking at the period July- August 2010 we can see that this constellation only exists for a short time. Jupiter and Uranus turn retrograde (seemingly go back) along the zodiac and directly weaken the power. In September 2010 this powerful constellation will have weakened greatly. The middle points are the months July and August 2010, these will become two very important

months. Impact will be felt in all areas. During 2011 and 2012 this constellation will return in different forms but never so powerful as in the months of July and August 2010. But let us not exaggerate. The power ratio is unknown but a 'normal' opposition between Jupiter and Saturn within the cycle development of the 120-year cycle is not really a very 'bad' position. The urge to grow is slowly developing under the increasing aspect of Jupiter (Jupiter is a fast planet). However Jupiter and Saturn are not alone but part of a complex constellation. No one knows how this constellation will develop. We will no doubt see a strongly fluctuating market and pain will be felt everywhere. In the appendix I have included a summary of market rates with their possible development for the coming time. This hectic and chaotic period could well continue through to 1013 or beginning of 1014.

In 2014 there will again be plenty of change and, in my opinion, in a very positive way. Only the position of Saturn in Scorpio, at the end of 2014, has a less positive image. Scorpio indicates conversion and in a negative way we could presume that Saturn might close the money tap in this sign. Expenses will be stopped. Buying and selling will decrease and money will change hands a lot less. Looking from the positive side Saturn in Scorpio has a healing effect. Expenditure will be put in chains and structured; excessive behaviour will no longer be tolerated. For example an authority that checks if agreements are held to. Scorpio can be unpredictable and especially

that unpredictability will be put it in chains. It could well be that this last meaning of Saturn in Scorpio is of great importance to help us understand the period after 2014. The Times cycles are running up and the period around 2010 will bring a lot of changes. Governments will take the bull by the horns after 2014 and in a structured manner bring about improvement, which will have an effect on the financial markets.

There is still more to be said about this period. The strong position of Uranus and Jupiter in Aries can also have a refreshing effect on the world. The power of growth and renewal could bring about a return of the 60's and 70's from the last century. The need for freedom and escaping from choking structures is huge. Aries splashes with initiatives. New initiatives are given a chance and actually bring renewal. After 2010 we will enter a new period wherein seeds will be planted and new ideas created which will have long-term influence. An initiative that will only reach maturity in 12 years time but saw the light during this period of repression and depression. The inner person is also in search of renewal. Young people will stand up and march to the beat of their own drum, not wanting to be oppressed. The struggle between 'old' values and 'new' ideas will be very strongly felt in the period 2010-2012. Will there be youngsters who will stand up against the polarization between Islam and western Christianity and bring about unity? It would fit in with the image of that time.

The past 10 years has seen a change in relationship between citizens and the politics. Citizens can no longer identify with the government. The government seems to rule from an ivory tower making decisions yet refusing citizen opinion. Citizens are very critical and question the way the government functions. Yet at the same time political involvement by the citizens is great. Many more people have voted over the past 10 years compared to the thirty years before. People realize that it *does* matter. Not only in the United States but over the whole world new relationships are being forged between citizens and the politics. It wouldn't surprise me at all if the political landscape looked very different in the coming 10 years. Even though the choice for reform is a forced choice (Pluto) it is profoundly about the relationship between people and politics (Jupiter 180° Saturn). Perhaps it is the bureaucracy, the representative of politics that will make the whole game possible. Saturn adds purpose to structures, organisations and creates building blocks for institutions. Uranus represents politics – the chosen ones. A negative Saturn half way 2010 could lead to heavy cuts in government budgets and thus in bureaucracy. People who think they are safe working for the governments could well be in for a tough time. The effect could result in a change in the citizen - politics relationship. This change is due to happen but the manner in which it happens is very different than expected with such a zodiac sign. The discussion about political reform will not be activated by citizens and political needs but by emergency financial reform. Sometime around

2015 the political and bureaucratic landscape will drastically change and citizen involvement in the politics will increase immensely.

Organisations like the FED will also be included. This association, which acts in the interests of banks has, at the moment, free hand to decide its own policy. This self-governed organisation will be laid in chains during 2010. Governments want to have the upper hand in steering the money machine. In 2010 Pluto runs over the ascendant in the horoscope of the FED. It could well mean the end to this organisation. A sudden end nears.

2014 promises to be a magical year in many ways. We see many different cycles ending during this period. Some end at the beginning of 2014, others at the end of the year. Also in this period Saturn travels its first 15-year cycle from its top in May 2000. On the 1st of February 2014 Saturn will be exactly opposite the point where he was at the top in May 2000. The downward cycle will come to an end. According to Gann this will be a very important point in time. Markets could turn and stress and unease will fade: leaving a very strong and long upward trend, which could last until 2020. After 2020 a new trend and new cycle will begin, starting with decline. It is however not realistic that the period 2014 – 2020 will go by without problems. 2014 and 2015 will still be hard. In January 2014 Pluto and Jupiter are in opposition (opposite each other). This cycle is the half way position during the period of decline. In

2007 both were at the same level (conjunct) at the top of the shares market and at the beginning of 2014 they will have made half circle. This often indicates the end of a period, one of stagnation and decline. The cards will have been shuffled and a rise can begin in the shares market. Possibly the start of up cycle during the last months of 2014.

We can be enthusiastic about 2015. Even though Saturn is in Scorpio; the other constellations are not all that bad. Jupiter and Saturn are during that period at an angle of 90°, but this aspect often marks a top in the financial markets. Also in 2016, Saturn and Uranus are in a positive aspect with each other. During this period a very negative Saturn cycle changes in to a period of growth (a strong Jupiter), even though it is paired with violence and problems. Again the themes are currency and decreasing reserves but the oil market will also make itself heard. Not easy. However the cycle turns in 2015-2016 from negative to positive and will continue until 2020.

From 2017 we see Saturn in Capricorn, home base. A strong position for new structures and the building of foundations. A period when new anchors and building blocks are being laid for a different future. This position represents staggered growth, not extreme growth, substance and hard work. This phase in the loop of Saturn makes us think of rebuilding after a war. The adage for this period has to be hard work and putting the shoulders under building a new

and steady future. That will be the time to rebuild. The unity that then exists binds people together. However before new bricks can be laid it is necessary to break off the old house and build new foundations. This period needs modesty and politically trustworthy leaders. Father figures and people with knowledge and authority. On the negative side Saturn through Capricorn stands for repression. There will no doubt be countries and areas, which will do less well under this constellation. We can expect a top in the financial markets in 2019 – 2020. The period at the end of 2019 is interesting as a possible top. After that, you guessed right, we start the game all over again.

Finally I want to take you back to Gann's theory about social economics. The essence in Gann's theory is that history always repeats itself, because human nature never changes, social economics. Human behaviour seems to travel along a cycle of stagnation and growth. Charles Kindleberger once described the five different phases of social economics. They correspond to Gann's image of human behaviour. The pattern is as follows: *shifting* - change in the economic situation of large groups creates new possibilities; *Euphoria* - a self-strengthening pattern develops which gives people the expectation of profit from a certain product; *Maine* - the bubble phase. The perspective of huge profits attracts new investors and swindlers who want to help people off their money; *Turmoil* - insiders realise that their prices are unrealistic, begin to round up their profits and go in search of investments;

Aversion - the final phase. The departing investors create a chain reaction and outsiders panic. Everyone rushes out through the same door. This is what we seen over the past few years and is continually repeated in the world economy. Sometimes with greater reactions than other times.

I would like to introduce you to Naill Ferguson (professor of Economy at Harvard). He has a good picture of the present money spiral. He states that the time has come to rethink a number of assumptions we have about values and possessions. His thoughts fit in perfectly with the period we presently find ourselves in, the bottom of the Saturn-Jupiter spiral. Naill Ferguson says that the spiral of virtual money has alienated us from the actual value of our possessions. The banker who personally knows his customers is from times gone by. The time has also passed when cars were bought from years of saving. We live in a time when most of the money we use will never be printed. Money has become figures on a statement or on your computer screen. Payments are made with a card and a four-digit code or signature. The financial system is built up on 'the de-realisation of our money' together with the spiral of loans speculating on the value increases that could build up from virtual values. This led to the enormous Bubble we saw burst in 2008. Time now asks for reflection and reform. The question now is whether there will be a worldwide depression or have government interventions and federal banks created a softer landing. The first will probably be more truthful. The

reform leads to new values and new associations about the meaning of money. How will these values evolve? I have no idea!

Should there be a moment during this crisis when the pain is greatest than it will be during July and August 2010 when the mighty Cardinal cross is formed, by the most powerful Gods in Greek mythology. The War of the Titans will be short yet mighty and the healing process will take years. But we *will* heal. Zeus is a stately ruler and that dignity will lead to peace and reflection. The spiral around Gann's pyramid has been like a downwards-spinning top over the last years. That is also the moment that a solid foundation can create a new, stable and rewarding base. Zeus will again let us awake, grow and flourish. The symbol of Gann's TIME CYCLE is the circulation of Jupiter and Saturn and the power that comes with it. This power field is the Master Time factor, the strongest cycle. Gann's symbols come from the ancient world. The ancient world relayed its knowledge in symbols and stories. The symbols and stories from the past and the present will decide the future. To quote Gann: "*everything repeats itself because human behaviour never changes*". We continue to float quietly on the waves of increase and decrease; growth and stagnation; expansion and panic.

CONCLUSION

We have glanced into the coming 11 years with the help of the Master Time Factor. Gann's mathematical module is nothing more than planetary cycles. Nothing more and nothing less. A lot of research has been done into financial astrology over the past 100 years, indicating the greater circulation of cycles but, in my opinion, the power in Gann's theory lies in the dominance of the Jupiter – Saturn cycle. The power of this cycle is like the inhaling and exhaling of the same theme: growth versus stagnation. Both words have travelled a long way in this piece of prose. We can only really understand what TIME is with the power of our imagination, the struggle between Zeus and his father Chronos. Gann saw and understood it well. The power of a building lies in the foundations and not in the windows through which you can look.

What stands central in this book is that history repeats itself. Gann says that the past repeats itself because people never change. Emotion plays an important role in human behaviour. Know yourself and you will understand others. I have included another appendix noting the human concept of the investor. Perhaps helpful.

There is so much more to write about investing and technical analysis. Patterns form, in my opinion, the skeleton of investing methods. There is a lot to say about future development based of forms and relationships of patterns. There is even more to say

about cycles (short, middle long). If you would like to know more about W.D. Gann and market analysis or would like to react on anything in this book then please contact www.houseofcharts.com

Appendix 1: THE INVESTOR

“No-one is worthless, everyone can serve as a loser”

If a method works well in practice then the rest is down to your personal structure to whether you become a good investor. Everyone can be a good investor but not everyone can do what others do. This is not a contradiction but a statement. Every individual has their own way of doing things, has their own capacities and capabilities. These will work well for you as an investor if you use them in the right manner. Not everyone can repeat what those have done before you. Gann was an extreme investor who traded an awful lot on the markets. Joe Ross is a present day investor and is very selective when trading. Both are very successful traders yet both have their own style. Joe Ross does not see what Gann saw in market development and Gann would most probably not have understood what Joe Ross sees. As a person you have to develop your own style of investing. If you don't and only follow what others have done and thought then the chances are that it will not fit you as a person.

There are many theories about human characteristics. People strongly resemble each other. The one more than the other. One theory that really appeals to me is about the different temperaments. There are more or less four types of people. These are archetypes. They are a mishmash of characteristics that can be distinctive to you or others in your environment.

These descriptions are usually exaggerated but at their core they do say something about you and your possibilities and also about your capabilities and pitfalls. The four temperaments are:

The Phlegmatic

The Phlegmatic is a person that thinks before he does anything. He analyses, reasons and looks if it fits into a certain context. The Phlegmatic takes things step by step instead of a number of steps in one go. He comes to a well thought out opinion when he has the exact knowledge. Are you a Phlegmatic then you shouldn't trade in haste. It is preferable to have 10 trades per year that are very successful than a lot more that are approached as a risk. His pitfall is that he can be allured into trades that do not fit into his own developed system. The Phlegmatic should not let himself be lured into something but keep to the systematic system that he has thoroughly tested and developed. The Phlegmatic only feels the sentiment when the tide is changing. Another downside to the Phlegmatic is that he can wait so long for the right indicators that he never gets round to investing. Trading moments are never 100% ideal.

The Sanguine

The Sanguine is a person who likes being around others and has many friends and acquaintances. He goes in search of contact with others and also passes on knowledge. The Sanguine is perfectly capable of feeling sentiment and also the change in sentiment, as if it were hanging in the air. Difficult, complex and

systematic knowledge is nothing for the Sanguine; he shouldn't get lured into working with all sorts of systems. Short and sharp trading moments fit better with this person than well thought of theories. The Sanguine should use his antenna and let himself be blown by the wind.

The pitfall of this person is that sentiment can sometimes be misleading as the wind can blow in all directions, short and long. The Sanguine should not be lead by the opinion of others but learn to find the right information from the right person. That is the power of the Sanguine. The feeling of self-basis belongs better with the Melancholic

The Melancholic

The Melancholic are people whose feelings are seen as their most important value. These people have mastered at having a good or bad feeling. They learn through experience and will make many mistakes if they cannot fall back on their own feelings. But on the other hand they do need to gain experience in order to develop and value their feelings. The Melancholic will fall more often into his own pitfall than others. For the Melancholic it is important to learn first before trying to invest. Do you recognise this? Then take care in applying your input and your ways and means. The Melancholic should not let himself be carried away by others. It is usually the Choleric who knows how to get a fire going.

The Choleric

The Choleric is someone with a lot of will power and gets things done. Everywhere he goes he gets things moving and people gather round. The Choleric has a lot of faith, takes purposeful steps and is very convinced of himself. He is the trigger that awaits his prey. That is straight away his biggest pitfall: the market doesn't take account of such a personality. The investment world just continues to move forward. His pitfall is egocentricity. The Choleric could well be unjustly convinced about a certain market movement and place all his cards on it.

Daily we see the combined actions of human trading on the markets. People just like you and me, all with our own temperament. Day traders often have Sanguine characteristics; are the first ones to step out, making the market fall. They are also often the ones who are quick to step in, yet a little on the early side. The Melancholic and the Choleric are the next ones to step out. The Phlegmatic doesn't. He usually has a long-term vision and doesn't let the twisted opinions of others deter him. It was Gann who said that the people determine the market and that people never change. Thus: know yourself and you will know the world!

Appendix 2: FIRST CYCLE 2001-2020 SATURN JUPITER

<i>Degrees</i>	<i>aspect</i>	<i>date</i>
0°	conjunction	28-5-2000
90°	square	17-12-2005 22-6-2006 25-10-2006
120°	triangle	16-3-2007 6-5-2007 21-1-2008 21-11-2008
180°	opposition	23-5-2010 16-8-2010 28-3-2011
240°	triangle	17-7-2013 12-12-2014 24-5-2014
270°	square	3-8-2015 23-3-2016 26-5-2016
0°	conjunction	21-12-2020

POSITION SYMBOLS



0° or conjunction



60° or sextile



90° or square



120° or triangle



180° or opposition

PLANET SYMBOLS

 SUN

 MOON

 MERCURY

 VENUS

 MARS

 JUPITER

 SATURN

 URANUS

 NEPTUNE

 PLUTO

LITERATURE LIST

American Ephemeris

Bayer, George
The Egg of Columbus
Or: The Hidden Movements in Stocks and Commodities
Markets
Carmel, California
Edition: 1942

Bates, Graham and Jane Chrzanowska Bowles
Money and the Markets
An Astrological Guide
Aquarian
Edition: 1994

Fallon, Astrid
Planetary cycles
At a glance
Fallon Astro Graphics 2001

Gann, William D.
45 Years in Wall Street
Publisher: Lambert Publishing
Edition: 1949

Gann, William D.
Face the facts America
Lambert Publishing
Edition: 2002

Gann, William D.
How to Make Profits in Commodities
Lambert Publishing
Edition: 1942

Gann, William D.
How to Make Profits Trading in Puts and Calls
Publisher: Lambert -Gann
Edition: 2003

Gann, William D.
The Magic Word
Publisher: Lambert Publishing
Edition: 1950

Gann, William D.
New Stock Trend Detector
Publisher: Lambert Publishing
Edition: 1936

Gann, William D.
Truth of the Stock Tape and Wall Street Stock Selector
Publisher: Lambert Publishing
Edition: 1923

Gann, William D.
Tunnel Though the Air
Publisher: Lambert Publishing
Edition: 1927

Green, Liz
SATURN
A new look at an old devil
Samuel Weiser
Edition: 1976

Jensen, L.J.
Astro-Cycles
Speculative Markets
Lambert-Gann Publishing
Edition: 1978

Melchizedek, Drunvalo
The ancient secret of the Flower of Life, volume 1
Pinyan
Edition: 1996

Merriman, Raymond
The Ultimate Book on Stock Market Timing
Geocosmic Correlations to trading cycles
Volume 3 (2001)
MMA/Seek-It Publications

Mikula, Patrick
Gann's Scientific Methods Unveiled
Volume 1 How to make profits in Commodities
Edition: 1995

Long, Jeanne
Universal Clock
Forecasting Time and Price in the Footsteps of W.D.
Gann

Book 1
P.A.S. Publications Ft. Lauderdale

Sepharial
Cosmic Symbolism
William Rider & son
Edition: 1912

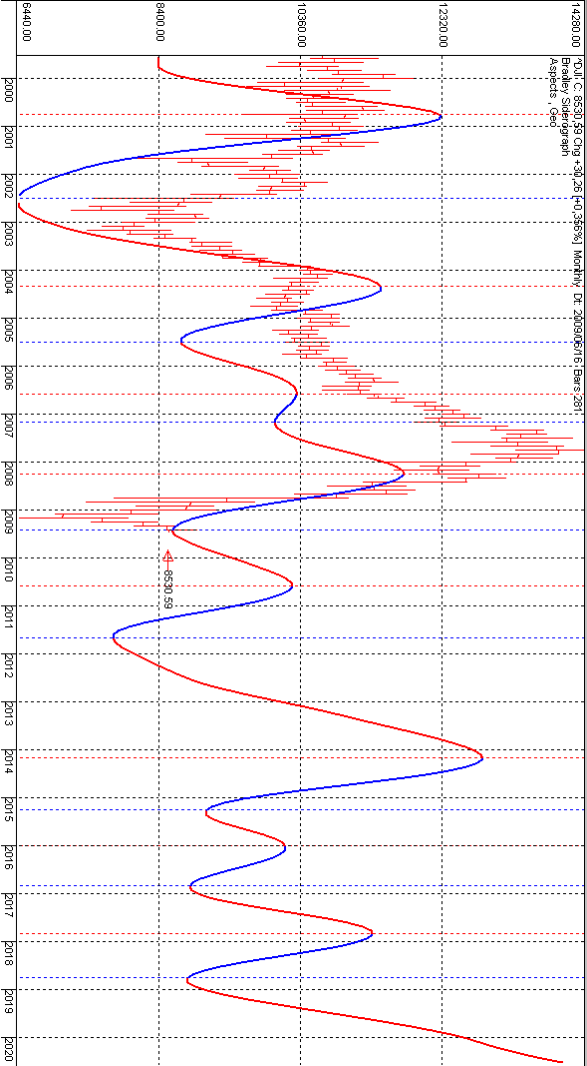
Skinner, Christeen
The Financial Universe
Planning your investments using Astrology Forecasting
Publisher: Alpha press, the Brighton
Edition: 2004

Skinner, Stephen
Flying star Feng Shui
Change your energy, change your luck
Publisher: Tuttle
Edition 2003

Ram, Th.J.J.
Psychologische astrologie
Systematische verklaring van de geboortehoroscoop
Becht
Edition: 1949

Weston, Fred
Forecasting
The New York Stock Market
Washington D.C.
Edition: 1921

FORECASTING 2009-2020



THE TICKER INVESTMENT DIGEST

Investment: The placing of capital in a more or less permanent way, mainly for the income to be derived therefrom.

Speculation: Operations wherein intelligent foresight is employed for the purpose of deriving a profit from price changes.

Vol. 5

DECEMBER, 1909

No. 2

WILLIAM D. GANN

An Operator Whose Science and Ability Place Him in the Front Rank—
His Remarkable Predictions and Trading Record.

SOMETIME ago the attention of this magazine was attracted by certain long pull stock market predictions which were being made by William D. Gann. In a large number of cases Mr. Gann gave us in advance the exact points at which certain stocks and commodities would sell, together with prices close to the then prevailing figures which would not be touched.

For instance, when New York Central was 131 he predicted that it would sell at 145 before 129.

So repeatedly did his figures prove to be accurate, and so different did his work appear from that of any expert whose methods we had examined, that we set about to investigate Mr. Gann and his way of figuring out these predictions, as well as the particular use which he was making of them in the market.

The results of this investigation are remarkable in many ways.

It appears to be a fact that Mr. Gann has developed an entirely new idea as to the principles governing stock market movements. He bases his operations upon certain natural laws, which, though existing since the world began, have only in recent years been subjected to the will of man, and added to the list of so-called modern discoveries.

We have asked Mr. Gann for an outline of his work and have secured some remarkable evidence as to the results obtained therefrom. We submit this in full recognition of the fact that

in Wall Street a man with a new idea—an idea which violates the traditions and encourages a scientific view of the proposition—is not usually welcomed by the majority, for the reason that he stimulates thought and research. These activities said majority abhors.

Mr. Gann's description of his experience and methods is given herewith. It should be read with a recognition of the established fact that Mr. Gann's predictions have proved correct in a large majority of instances.

"For the past ten years I have devoted my entire time and attention to the speculative markets. Like many others, I lost thousands of dollars and experienced the usual ups and downs incidental to the novice who enters the market without preparatory knowledge of the subject.

"I soon began to realize that all successful men, whether lawyers, doctors, or scientists, devoted years of time to the study and investigation of their particular pursuit or profession before attempting to make any money out of it.

"Being in the brokerage business myself and handling large accounts, I had opportunities seldom afforded the ordinary man for studying the cause of success and failure in the speculations of others. I found that over ninety per cent of the traders who go into the market without knowledge or study usually lose in the end.

"I soon began to note the periodical

recurrence of the rise and fall in stocks and commodities. This led me to conclude that natural law was the basis of market movements. I then decided to devote ten years of my life to the study of natural law as applicable to the speculative markets and to devote my best energies toward making speculation a profitable profession. After exhaustive researches and investigations of the known sciences, I discovered that the Law of Vibration enabled me to accurately determine the exact points to which stocks or commodities should rise and fall within a given time. The working out of this law determines the cause and predicts the effect long before the Street is aware of either. Most speculators can testify to the fact that it is looking at the effect and ignoring the cause that has produced their losses.

"It is impossible here to give an adequate idea of the Law of Vibration as I apply it to the markets, however, the layman may be able to grasp some of the principles when I state that the Law of Vibration is the fundamental law upon which wireless telegraphy, wireless telephones and phonographs are based. Without the existence of this law the above inventions would have been impossible.

"In order to test out the efficiency of my idea I have not only put in years of labor in the regular way, but I spent nine months working night and day in the Astor Library of New York and in the British Museum of London, going over the records of stock transactions as far back as 1820. I have incidentally examined the manipulations of Jay Gould, Daniel Drew, Commodore Vanderbilt and all the other important Wall Street manipulators from that time to the present day. I have examined every quotation of Union Pacific prior to and from the time of E. H. Harriman's securing control, and can say that of all the manipulations in the history of Wall Street, Mr. Harriman's was the most masterly. The figures show that, whether unconsciously or not, Mr. Harriman worked strictly in accordance with natural law.

"In going over the history of markets and the great mass of related statistics, it soon becomes apparent that certain laws govern the changes and variations in the value of stocks and there exists a periodic or cyclic law, which is at the back of all these movements. Observation has shown that

there are regular periods of intense activity on the Exchange followed by periods of inactivity. Mr. Henry Hall, in his recent book devoted much space to 'Cycles of Prosperity and Depression' which he found recurring at regular intervals of time. The law which I have applied will not only give these long cycles or swings, but the daily and even hourly movements of stocks. By knowing the exact vibration of each individual stock I am able to determine at what point each will receive support and at what point the greatest resistance is to be met.

"Those in close touch with the markets have noticed the phenomena of ebb and flow, or rise and fall in the value of stocks. At certain times a stock will become intensely active, large transactions being made in it; at other times this same stock will become practically stationary or inactive with a very small volume of sales. I have found that the Law of Vibration governs and controls these conditions. I have also found that certain phases of this law govern the rise in a stock and an entirely different rule operates on the decline.

"While Union Pacific and other railroad stocks which made their high prices in August were declining, United States Steel common was steadily advancing. The Law of Vibration was at work, sending a particular stock on the upward trend, whilst others were trending downward.

"I have found that in the stock itself exists its harmonic or inharmonic relationship to the driving power or force behind it. The secret of all its activity is therefore apparent. By my method I can determine the vibration of each stock and by also taking certain time values into consideration I can in the majority of cases tell exactly what the stock will do under given conditions.

"The power to determine the trend of the market is due to my knowledge of the characteristics of each individual stock and a certain grouping of different stocks under their proper rates of vibration. Stocks are like electrons, atoms, and molecules, which hold persistently to their own individuality in response to the fundamental Law of Vibration. Science teaches 'that an original impulse of any kind finally resolves itself into periodic or rhythmical motion,' also 'just as the pendulum returns again in its swing, just as the moon returns in its

orbit, just as the advancing year ever brings the rose of spring, so do the properties of the elements periodically recur as the weight of the atoms rises.

"From my extensive investigations, studies and applied tests, I find that not only do the various stocks vibrate, but that the driving forces controlling the stocks are also in a state of vibration. These vibratory forces can only be known by the movements they generate on the stocks and their values in the market. Since all great swings or movements of the market are cyclic they act in accordance with the periodic law.

"Science has laid down the principle that 'the properties of an element are a periodic function of its atomic weight.' A famous scientist has stated that 'we are brought to the conviction that diversity in phenomenal nature in its different kingdoms, is most intimately associated with numerical relationship. The numbers are not intermixed, chaotically and accidentally, but are subject to regular periodicity. The changes and developments are also seen to be in many cases undulatory.'

"Thus, I affirm, every class of phenomena, whether in nature or in the stock market, must be subject to the universal law of causation and harmony. Every effect must have an adequate cause.

"If we wish to avert failure in speculation we must deal with causes. Everything in existence is based on exact proportion and perfect relationship. There is no chance in nature, because mathematical principles of the highest order lie at the foundation of all things. Faraday said: 'There is nothing in the Universe but mathematical points of force.'

"Vibration is fundamental; nothing is exempt from this law; it is universal, therefore applicable to every class of phenomena on the globe.

"Through the Law of Vibration every stock in the market moves in its own distinctive sphere of activities, as to intensity, volume and direction; all the essential qualities of its evolution are characterized in its own rate of vibration. Stocks, like atoms, are really centers of energies, therefore they are controlled mathematically. Stocks create their own field of action and power; power to attract and repel, which principle explains why certain stocks at times lead the market and

'turn dead' at other times. Thus to speculate scientifically it is absolutely necessary to follow natural law.

"After years of patient study I have proven to my entire satisfaction as well as demonstrated to others that vibration explains every possible phase and condition of the market."

In order to substantiate Mr. Gann's claims as to what he has been able to do under this method, we called upon Mr. William E. Gilley, an Inspector of Imports, 16 Beaver street, New York. Mr. Gilley is well-known in the down-town district. He himself has studied stock market movements for twenty-five years, during which time he has examined every piece of market literature that has been issued and procurable in Wall Street. It was he who encouraged Mr. Gann to study out the scientific and mathematical possibilities of the subject. When asked what had been the most impressive of Mr. Gann's work and predictions, he replied as follows:

"It is very difficult for me to remember all the predictions and operations of Mr. Gann which may be classed as phenomenal, but the following are a few: In 1908 when Union Pacific was 168½ he told me that it would not touch 169 before it had a good break. We sold it short all the way down to 152½, covering on the weak spots and putting it out again on the rallies, securing twenty-three points profit out of an eighteen-point move.

"He came to me when United States Steel was selling around 50 and said 'This Steel will run up to 58 but it will not sell at 59. From there it should break 16¾ points. We sold it short around 58½ with a stop at 59. The highest it went was 58¾. From there it declined to 41¼—17½ points.

"At another time wheat was selling at about 89c. He predicted that the May option would sell at \$1.35. We bought it and made large profits on the way up. It actually touched \$1.35½.

"When Union Pacific was 172, he said it would go to 184½ but not an eighth higher until it had had a good break. It went to 184½ and came back from there eight or nine times. We sold it short repeatedly with a stop at 185 and were never caught. It eventually came back to 172½.

"Mr. Gann's calculations are based on natural law. I have followed his work closely for years. I know that

he has a firm grasp of the basic principles which govern stock market movements, and I do not believe any other man on earth can duplicate the idea or his method at the present time.

"Early this year he figured that the top of the advance would fall on a certain day in August and calculated the prices at which the Dow-Jones averages would then stand. The market culminated on the exact day and within four-tenths of one per cent. of the figures predicted."

"You and Mr. Gann must have cleaned up considerable money on all these operations," was suggested.

"Yes, we have made a great deal of money. He has taken half a million dollars out of the market in the past few years. I once saw him take \$130, and in less than one month run it up to cover \$12,000. He can compound money faster than any man I ever met."

"One of the most astonishing calculations made by Mr. Gann was during last summer (1909) when he predicted that September wheat would sell at \$1.20. This meant that it must touch that figure before the end of the month of September. At twelve o'clock, Chicago time, on September 30th (the last day) the option was selling below \$1.08, and it looked as though his prediction would not be fulfilled. Mr. Gann said 'If it does not touch \$1.20 by the close of the market it will prove that there is something wrong with my whole method of calculation. I do not care what the price is now, it must go there.' It is common history that September wheat surprised the whole country by selling at \$1.20 and no higher in the very last hour of the trading, closing at that figure."

So much for what Mr. Gann has said and done as evidenced by himself and others. Now as to what demonstrations have taken place before our representative:

During the month of October, 1909, in twenty-five market days, Mr. Gann made, in the presence of our representative, two hundred and eighty-six transactions in various stocks, on both the long and short side of the market. Two hundred and sixty-four of these transactions resulted in profits; twenty-two in losses.

The capital with which he operated was doubled ten times, so that at the end of the month he had one thousand per cent. of his original margin.

In our presence Mr. Gann sold Steel common short at 94½, saying that it would not go to 95. It did not.

On a drive which occurred during the week ending October 29th, Mr. Gann bought Steel common at 86½, saying that it would not go to 86. The lowest it sold was 86½.

We have seen him give in one day sixteen successive orders in the same stock, eight of which turned out to be either the top or the bottom eighth of that particular swing. The above we can positively verify.

Such performances as these, coupled with the foregoing, are probably unparalleled in the history of the Street.

James R. Keene has said, "The man who is right six times out of ten will make his fortune." Here is a trader, who, without any attempt to make a showing (for he did not know the results were to be published), establishes a record of over ninety-two per cent profitable trades.

Mr. Gann has refused to disclose his method at any price, but to those scientifically inclined he has unquestionably added to the stock of Wall Street knowledge and pointed out infinite possibilities.

We have requested Mr. Gann to figure out for the readers of *The Ticker* a few of the most striking indications which appear in his calculations. In presenting these we wish it understood that no man, in or out of Wall Street, is infallible.

Mr. Gann's figures at present indicate that the trend of the stock market should, barring the usual rallies, be toward lower prices until March or April, 1910.

He calculates that May wheat, which is now selling at \$1.02, should not sell below 99c. and should sell at \$1.45 next spring.

On cotton, which is now at about the 15c. level, he estimates that, after a good reaction from these prices, the commodity should reach 18c. in the spring of 1910. He looks for a corner in the March or May option.

Whether these figures prove correct or not, will in no sense detract from the record which Mr. Gann has already established.

Mr. Gann was born in Lufkin, Texas, and is thirty-one years of age. He is a gifted mathematician, has an extraordinary memory for figures, and is an expert Tape Reader. Take away his science and he would beat the

market on his intuitive tape reading alone.

Endowed as he is with such qualities, we have no hesitation in predicting that within a comparatively few years Wm. D. Gann will receive full recognition as one of Wall Street's leading operators.

R. D. W.

Note—Since the above forecast was made, Cotton has suffered the expected decline, the extreme break having been 120 points. The lowest on May wheat thus far has been \$1.01½. It is now selling at \$1.06¼.

In 1912 Mr. Gann forecast the election of Woodrow Wilson and has been correct in forecasting the election of every President since that time. Many of these forecasts have been published in newspapers throughout the country.

In the spring of 1918 Mr. Gann forecast the end of the World War. This forecast was sent out to newspapers throughout the country, and in January, 1919, the New York Herald and other papers gave Mr. Gann credit for forecasting the end of the war and the Kaiser's abdication.

In his 1919 Annual Stock Forecast, issued late in 1918, he forecast a big bull market for 1919 and especially referred to a boom in oil stocks.

His Stock Forecasts for 1920 and 1921 indicated a bear market with sharp declines. The 1921 Forecast called the exact date for bottom on stocks in August, 1921.

In 1923 Mr. Gann wrote "Truth of the Stock Tape" and forecast a big advance in chemical and airplane stocks, which followed during the Coolidge bull campaign. This book has been reviewed by newspapers and magazines throughout the country and favorably commented on by college professors, business men, investors and traders, all of whom agree that it is the best book ever written on the subject.

His Stock Forecasts for 1924 and 1925 outlined the bull market which followed.

In the spring of 1927, Mr. Gann wrote "The Tunnel Thru the Air, or Looking back From 1940," which contained many remarkable forecasts in regard to stocks and commodities and world events which have been fulfilled. In this book Mr. Gann said that from 1929 to 1932 there would be the worst panic in the world's history. Writing under date of "October 3, 1931" on page 323, he said, "The New York Stock Exchange closed to prevent complete panic because the people were panic-stricken and selling stocks regardless of price." It is a matter of history that the New York Stock Exchange did consider closing on October 3 to 5, but decided to stop short selling. The low of that panicky decline was reached on October 5 and a rally of 33 points in industrial stock averages followed to November 9, 1931.

His 1929 Stock Forecast, issued on November 23, 1928, and based on his Master Time Factor, indicated the end of the full market in August and early September, 1929. He stated in no uncertain terms that the panic would start in September, 1929, and that it would be a great deluge with a Black Friday. We quote from the Forecast:

"AUGUST—A few of the late movers will advance this month and reach final high. * * * Unfavorable news will develop which will start declines and the long bull campaign will come to a sudden end. Money rates will be high and final top will be reached for a big bear campaign. Stand from under! Don't get caught in the great deluge! Remember it is too late to sell when everyone is trying to sell. * * *

"SEPTEMBER—One of the sharpest declines of the year is indicated. There will be loss of confidence by investors, and the public will try to get out after it is too late. Storms will damage crops and the general business outlook will become cloudy. War news will upset the market and unfavorable developments

in foreign countries. A 'Black Friday' is indicated and a panicky decline in stocks with only small rallies. The short side will prove the most profitable. You should sell short and pyramid on the way down."

In the spring of 1930, Mr. Gann wrote "Wall Street Stock Selector," which was published in June, 1930. In this book he had a chapter headed, "Investors' Panic," which described conditions just as they occurred during 1931, 1932 and 1933. We quote from the book, pages 203-04:

"The coming investors' panic will be the greatest in history, because there are at least 15 to 25 million investors in the United States who hold stocks in the leading corporations, and when once they get scared, which they will after years of decline, then the selling will be so terrific that no buying power can withstand it. Stocks are so well distributed in the hands of the public that since the 1929 panic many people think that the market is panic-proof, but this seeming strength is really the weakest feature of the market. * * *

"Love of money has been the cause of all financial troubles and depressions in the past, and the coming panic will be the greatest the world has ever known, because there is more money in the United States than ever before, therefore more to fight for."

Thousands of people have bought this book and profited by reading and studying it. The book has been favorably commented on by such papers as The Financial Times of London, England, Wall Street Journal, New York Daily Investment News, Coast Investor, and many other newspapers and magazines throughout the world.

On February 10, 1932, Mr. Gann said that stocks were bottom for a big rally. His 1932 Stock Forecast, issued October 21, 1931, called March 8 for last top for another big decline. During the latter part of June, 1932, and early July he strongly advised buying stocks, stating that final bottom had been reached, as shown by his market letter issued July 8, the day that most stocks reached final bottom. We quote from page 6 of the 1932 Forecast:

"The latter part of June, July, August and September are the most active and bullish months of the year, when sharp advances will be recorded. First extreme high is indicated around September 20 to 21, when stocks should make extreme high for the year. Then follows a decline, reaching bottom around October 4 to 5."

Between July 8 and September 8 many stocks advanced 20 to 60 points. The market reached high of a secondary rally on September 23, from which a big decline followed, making low in the latter part of November and early December, as indicated in the Forecast.

On March 1, 1933, by the use of his Master Time Factor Mr. Gann forecast bottom for stocks and commodities and advised buying for a big advance, as shown by the market letters issued March 1 and 3 given below. This is another proof of the great value of Mr. Gann's discovery of a Master Time Factor.